# FIDELITY & GUARANTY LIFE HOLDINGS, INC.

Consolidated Financial Statements

(With Independent Auditor's Report Thereon)

**FIDELITY & GUARANTY LIFE HOLDINGS, INC.**

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**KPMG LLP**
1 East Pratt Street
Baltimore, MD 21202-1128

# Independent Auditors' Report

The Board of Directors
Fidelity & Guaranty Life Holdings, Inc.:

We have audited the accompanying consolidated financial statements of Fidelity & Guaranty Life Holdings, Inc. and its subsidiaries, which comprise the consolidated balance sheets as of September 30, 2014 and 2013, and the related consolidated statements of operations, comprehensive income, changes in shareholder's equity, and cash flows for each of the years in the three-year period ended September 30, 2014, and the related notes to the consolidated financial statements.

***Management's Responsibility for the Financial Statements***

Management is responsible for the preparation and fair presentation of these consolidated financial statements in accordance with U.S. generally accepted accounting principles; this includes the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of consolidated financial statements that are free from material misstatement, whether due to fraud or error.

***Auditors' Responsibility***

Our responsibility is to express an opinion on these consolidated financial statements based on our audits. We conducted our audits in accordance with auditing standards generally accepted in the United States of America. Those standards require that we plan and perform the audit to obtain reasonable assurance about whether the consolidated financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the consolidated financial statements. The procedures selected depend on the auditors' judgment, including the assessment of the risks of material misstatement of the consolidated financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation and fair presentation of the consolidated financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. Accordingly, we express no such opinion. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluating the overall presentation of the consolidated financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.


KPMG LLP is a Delaware limited liability partnership, the U.S. member firm of KPMG International Cooperative ("KPMG International"), a Swiss entity.

***Opinion***

In our opinion, the consolidated financial statements referred to above present fairly in all material respects, the financial position of Fidelity & Guaranty Life Holdings, Inc. and its subsidiaries as of September 30, 2014 and 2013, and the results of their operations and their cash flows for each of the years in the three-year period ended September 30, 2014 in accordance with U.S. generally accepted accounting principles.

KPMG LLP

December 17, 2014

# FIDELITY & GUARANTY LIFE HOLDINGS, INC.
## CONSOLIDATED BALANCE SHEETS
*(In millions)*

| | September 30, 2014 | September 30, 2013 |
|---|---|---|
| **ASSETS** | | |
| Investments: | | |
| Fixed maturities securities, available-for-sale, at fair value (amortized cost: 2014 - $16,691.9; 2013 - $15,301.6) | $ 17,434.6 | $ 15,541.4 |
| Equity securities, available-for-sale, at fair value (cost: 2014 - $629.0; 2013 - $274.6) | 648.4 | 271.1 |
| Derivative investments | 296.3 | 221.8 |
| Other invested assets | 372.9 | 188.2 |
| Total investments | 18,752.2 | 16,222.5 |
| Related party loans | 112.7 | 119.0 |
| Cash and cash equivalents | 510.6 | 1,204.3 |
| Accrued investment income | 181.8 | 159.3 |
| Reinsurance recoverable | 3,664.8 | 3,728.6 |
| Intangibles, net | 515.0 | 523.3 |
| Deferred tax assets | 137.4 | 240.6 |
| Other assets | 163.5 | 205.9 |
| **Total assets** | $ 24,038.0 | $ 22,403.5 |
| **LIABILITIES AND SHAREHOLDER'S EQUITY** | | |
| Contractholder funds | $ 16,463.5 | $ 15,248.2 |
| Future policy benefits | 3,504.3 | 3,556.8 |
| Funds withheld for reinsurance liabilities | 1,330.8 | 1,407.7 |
| Liability for policy and contract claims | 58.1 | 51.5 |
| Long-term debt | 300.0 | 300.0 |
| Other liabilities | 837.4 | 700.0 |
| **Total liabilities** | 22,494.1 | 21,264.2 |
| **Commitments and contingencies** | | |
| Shareholder's equity: | | |
| Common stock | — | — |
| Additional paid-in capital | 470.0 | 468.2 |
| Retained earnings | 723.6 | 558.2 |
| Accumulated other comprehensive income | 350.3 | 112.9 |
| **Total shareholder's equity** | 1,543.9 | 1,139.3 |
| **Total liabilities and shareholder's equity** | $ 24,038.0 | $ 22,403.5 |

See accompanying notes to consolidated financial statements.

**FIDELITY & GUARANTY LIFE HOLDINGS, INC.**
**CONSOLIDATED STATEMENTS OF OPERATIONS**
***(In millions)***

| | Year ended September 30, | | |
|---|---|---|---|
| | **2014** | **2013** | **2012** |
| **Revenues:** | | | |
| Premiums | $ 55.6 | $ 58.4 | $ 55.3 |
| Net investment income | 758.9 | 672.9 | 716.2 |
| Net investment gains | 305.6 | 544.6 | 410.0 |
| Insurance and investment product fees and other | 68.3 | 57.7 | 40.3 |
| Total revenues | 1,188.4 | 1,333.6 | 1,221.8 |
| **Benefits and expenses:** | | | |
| Benefits and other changes in policy reserves | 787.5 | 496.7 | 777.4 |
| Acquisition and operating expenses, net of deferrals | 96.2 | 98.5 | 119.9 |
| Amortization of intangibles | 89.6 | 225.0 | 160.7 |
| Total benefits and expenses | 973.3 | 820.2 | 1,058.0 |
| Operating income | 215.1 | 513.4 | 163.8 |
| Interest expense | (22.5) | (20.4) | (23.5) |
| Income before income taxes | 192.6 | 493.0 | 140.3 |
| Income tax expense (benefit) | 27.2 | 156.1 | (145.7) |
| **Net income** | $ 165.4 | $ 336.9 | $ 286.0 |
| | | | |
| **Supplemental disclosures:** | | | |
| Total other-than-temporary impairments | $ (0.7) | $ (2.9) | $ (24.3) |
| Portion of other-than-temporary impairments included in other comprehensive income | — | — | (1.5) |
| Net other-than-temporary impairments | (0.7) | (2.9) | (22.8) |
| Gains on derivative instruments | 205.7 | 267.0 | 146.0 |
| Other investment gains | 100.6 | 280.5 | 286.8 |
| **Total net investment gains** | $ 305.6 | $ 544.6 | $ 410.0 |

See accompanying notes to consolidated financial statements.

**FIDELITY & GUARANTY LIFE HOLDINGS, INC.**
**CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME**
***(In millions)***

| | Year ended September 30, | | |
|---|---|---|---|
| | 2014 | 2013 | 2012 |
| Net income | $ 165.4 | $ 336.9 | $ 286.0 |
| Other comprehensive income (loss) | | | |
| Unrealized investment gains (losses): | | | |
| Changes in unrealized investment gains (losses) before reclassification adjustment | 622.0 | (488.6) | 906.5 |
| Net reclassification adjustment for (gains) included in net investment gains | (99.9) | (333.4) | (263.9) |
| Changes in unrealized investment gains (losses) after reclassification adjustment | 522.1 | (822.0) | 642.6 |
| Adjustments to intangible assets | (157.0) | 327.3 | (218.5) |
| Changes in deferred income tax asset/liability | (127.7) | 173.1 | (148.5) |
| Net unrealized gains (losses) on investments | 237.4 | (321.6) | 275.6 |
| Non-credit related other-than-temporary impairment: | | | |
| Changes in non-credit related other-than-temporary impairment | — | — | (1.5) |
| Adjustments to intangible assets | — | — | 0.6 |
| Changes in deferred income tax asset/liability | — | — | 0.3 |
| Net non-credit related other than-temporary impairment | — | — | (0.6) |
| Net change to derive comprehensive income (loss) for the period | 237.4 | (321.6) | 275.0 |
| Comprehensive income, net of tax | $ 402.8 | $ 15.3 | $ 561.0 |

See accompanying notes to consolidated financial statements.

**FIDELITY & GUARANTY LIFE HOLDINGS, INC.**
**CONSOLIDATED STATEMENTS OF CHANGES IN SHAREHOLDER'S EQUITY**
***(In millions)***

| | Common Stock | Additional Paid-in Capital/ Contributed Capital | Retained Earnings | Accumulated Other Comprehensive Income (Loss) | Total Shareholder's Equity |
|---|---|---|---|---|---|
| **Balance, September 30, 2011** | $ — | $ 254.8 | $ 8.3 | $ 159.5 | $ 422.6 |
| Net income | — | — | 286.0 | — | 286.0 |
| Unrealized investment gains, net | — | — | — | 275.6 | 275.6 |
| Stock compensation | — | 0.2 | — | — | 0.2 |
| Non-credit related other-than-temporary impairments | — | — | — | (0.6) | (0.6) |
| **Balance, September 30, 2012** | $ — | $ 255.0 | $ 294.3 | $ 434.5 | $ 983.8 |
| Dividends | — | — | (73.0) | — | (73.0) |
| Net income | — | — | 336.9 | — | 336.9 |
| Unrealized investment losses, net | — | — | — | (321.6) | (321.6) |
| Stock compensation | — | (0.1) | — | — | (0.1) |
| Debt to equity conversion | — | 213.3 | — | — | 213.3 |
| **Balance, September 30, 2013** | $ — | $ 468.2 | $ 558.2 | $ 112.9 | $ 1,139.3 |
| Net income | — | — | 165.4 | — | 165.4 |
| Unrealized investment gains, net | — | — | — | 237.4 | 237.4 |
| Capital contribution | — | 1.8 | — | — | 1.8 |
| **Balance, September 30, 2014** | $ — | $ 470.0 | $ 723.6 | $ 350.3 | $ 1,543.9 |

See accompanying notes to consolidated financial statements.

# FIDELITY & GUARANTY LIFE HOLDINGS, INC.
## CONSOLIDATED STATEMENTS OF CASH FLOWS
*(In millions)*

| | Year ended September 30, | | |
|---|---|---|---|
| | 2014 | 2013 | 2012 |
| **Cash flows from operating activities:** | | | |
| Net income | $ 165.4 | $ 336.9 | $ 286.0 |
| Adjustments to reconcile net income to net cash provided by operating activities: | | | |
| Depreciation of properties | 5.1 | 3.9 | 2.8 |
| Amortization of intangibles | 89.6 | 225.0 | 160.7 |
| Stock-based compensation | 6.2 | 5.9 | 0.2 |
| Amortization of debt issuance costs | 3.4 | 1.7 | — |
| Deferred income taxes | (24.7) | 212.3 | (220.0) |
| Interest credited/index credits and other changes to contractholder account balances | 658.9 | 355.4 | 586.8 |
| (Accretion) amortization of fixed maturity discounts and premiums | (43.1) | 16.7 | 86.9 |
| Net recognized (gains) on investments and derivatives | (305.6) | (544.6) | (410.0) |
| Charges assessed to contractholders for mortality and administration | (44.7) | (31.5) | (14.9) |
| Deferred policy acquisition costs | (238.3) | (147.4) | (194.9) |
| Cash received (transferred) to reinsurer | — | 15.0 | (176.8) |
| Changes in operating assets and liabilities: | | | |
| Accrued investment income | (22.5) | 32.3 | 15.2 |
| Reinsurance recoverable | (15.9) | 7.5 | (89.1) |
| Future policy benefits | (52.5) | (58.0) | 16.6 |
| Funds withheld for reinsurance liabilities | (101.1) | (216.8) | — |
| Collateral posted | 63.5 | 72.0 | 0.1 |
| Liability for policy and contract claims | 6.6 | (39.6) | 34.4 |
| Other assets and other liabilities | 30.1 | (20.6) | 170.4 |
| **Net cash provided by operating activities** | 180.4 | 226.1 | 254.4 |
| **Cash flows from investing activities:** | | | |
| Proceeds from investments sold, matured or repaid: | | | |
| Fixed maturities | 4,908.7 | 8,920.1 | 5,723.3 |
| Equity securities | 50.7 | 68.7 | 110.2 |
| Derivatives instruments and other invested assets | 534.6 | 317.4 | 157.6 |
| Cost of investments acquired: | | | |
| Fixed maturities | (6,217.8) | (8,896.7) | (5,583.5) |
| Equity securities | (383.4) | (102.3) | (56.6) |
| Derivatives instruments and other invested assets | (500.1) | (319.4) | (141.6) |
| Related party loans | 6.4 | 28.6 | (150.1) |
| Capital expenditures | (9.4) | (4.1) | (6.2) |
| **Net cash (used in) provided by investing activities** | (1,610.3) | 12.3 | 53.1 |
| **Cash flows from financing activities:** | | | |
| Dividends paid | — | (73.0) | — |
| Repayment of subordinated debt | — | — | (95.0) |
| Repayments of debt | — | (20.0) | (40.0) |
| Proceeds from issuance of new debt | — | 300.0 | — |
| Debt issuance costs | (3.5) | (10.2) | — |
| Contractholder account deposits | 2,364.9 | 1,356.1 | 2,040.5 |
| Contractholder account withdrawals | (1,625.2) | (1,636.4) | (1,979.6) |
| **Net cash provided by (used in) financing activities** | 736.2 | (83.5) | (74.1) |
| **Change in cash and cash equivalents** | (693.7) | 154.9 | 233.4 |
| Cash and cash equivalents at beginning of period | 1,204.3 | 1,049.4 | 816.0 |
| **Cash and cash equivalents at end of period** | $ 510.6 | $ 1,204.3 | $ 1,049.4 |
| **Supplemental disclosures of cash flow information:** | | | |
| Interest paid | $ 19.1 | $ 39.0 | $ 25.4 |
| Income taxes paid | $ 33.9 | $ 3.7 | $ 8.1 |

| | | | |
|---|---|---|---|
| Non-cash operating activities: | | | |
| Transfer of reinsurance recoverable balance related to life contracts | $ — | $ — | $ (95.4) |
| Non-cash investing activities: | | | |
| Transfer of invested assets | $ — | $ — | $ 414.6 |
| Non-cash financing activities: | | | |
| Transfer of reinsurance recoverable balance related to deposit-type contracts and other | $ — | $ — | $ (495.9) |
| Conversion of notes payable to additional paid in capital | $ — | $ (213.3) | $ — |

See accompanying notes to consolidated financial statements.

**FIDELITY & GUARANTY LIFE HOLDINGS, INC.**

**NOTES TO CONSOLIDATED FINANCIAL STATEMENTS**

## (1) Basis of Presentation and Nature of Business

The accompanying consolidated financial statements include the accounts of Fidelity & Guaranty Life Holdings, Inc. ("FGLH" and, collectively with its subsidiaries, the "Company"), a Delaware corporation, which is a direct, wholly owned subsidiary of Fidelity & Guaranty Life ("FGL", formerly Harbinger F&G, LLC ("HFG")). FGL is a subsidiary of Harbinger Group Inc. ("HGI"), a diversified holding company focused on obtaining controlling equity stakes in companies that operate across a diversified set of industries. FGL and HGI's shares of common stock trade on the New York Stock Exchange ("NYSE") under the symbols "FGL" and "HRG", respectively.

Dollar amounts in the accompanying footnotes are presented in millions, unless otherwise noted.

FGLH's primary business is the sale of individual life insurance products and annuities through independent agents, managing general agents, and specialty brokerage firms and in selected institutional markets. FGLH's principal products are deferred annuities (including fixed indexed annuity ("FIA") contracts), immediate annuities and life insurance products. FGLH markets products through its wholly-owned insurance subsidiaries, Fidelity & Guaranty Life Insurance Company ("FGL Insurance") and Fidelity & Guaranty Life Insurance Company of New York ("FGL NY Insurance"), which together are licensed in all fifty states and the District of Columbia.

Our reporting segments reflect the manner by which our chief operating decision makers view and manage the business. We currently distribute and service primarily fixed rate annuities, including FIAs. Therefore, we have only one reporting segment that our chief operating decision makers use to manage our business. Premiums and annuity deposits (net of coinsurance), which are not included as revenues (except for traditional premiums) in the accompanying Consolidated Statements of Operations, collected during the years ended September 30, 2014, 2013 and 2012, by product type were as follows:

| | Year ended September 30, | | |
|---|---|---|---|
| **Product Type** | **2014** | **2013** | **2012** |
| Fixed indexed annuities | $ 1,451.4 | $ 983.1 | $ 1,614.2 |
| Fixed rate annuities | 707.9 | 38.0 | 64.7 |
| Single premium immediate annuities | 9.7 | 7.3 | 7.8 |
| Life insurance (a) | 142.8 | 118.9 | 86.0 |
| **Total** | **$ 2,311.8** | **$ 1,147.3** | **$ 1,772.7** |

(a) Life insurance includes Universal Life ("UL") and traditional life insurance products.

The accompanying financial statements have been prepared in accordance with accounting principles generally accepted in the United States of America ("GAAP").

## (2) Significant Accounting Policies and Practices

### *Principles of Consolidation*

The accompanying audited consolidated financial statements include the accounts of FGLH and all other entities in which FGLH has a controlling financial interest (none of which are variable interest entities). All intercompany accounts and transactions have been eliminated in consolidation.

### *Revenue Recognition*

*Insurance Premiums*

The Company's insurance premiums for traditional life insurance products are recognized as revenue when due from the contractholder. The Company's traditional life insurance products include those products with fixed and guaranteed premiums and benefits and consist primarily of term life insurance and certain annuities with life contingencies.

Premium collections for fixed indexed and fixed rate annuities, indexed universal life ("IUL") policies and immediate annuities without life contingency are reported as deposit liabilities (i.e., contractholder funds) instead of as revenues. Similarly, cash payments to policyholders are reported as decreases in the liability for contractholder funds and not as expenses. Sources of revenues for products accounted for as deposit liabilities are net investment income, surrender and other charges deducted from contractholder funds, and net realized gains (losses) on investments.

*Net Investment Income*

Dividends and interest income, recorded in "Net investment income", are recognized when earned. Amortization of premiums and accretion of discounts on investments in fixed maturity securities are reflected in "Net investment income" over the contractual terms of the investments in a manner that produces a constant effective yield.

For mortgage-backed securities, included in the fixed maturity available-for-sale ("AFS") securities portfolios, the Company recognizes income using a constant effective yield based on anticipated prepayments and the estimated economic life of the securities. When actual prepayments differ significantly from originally anticipated prepayments, the effective yield is recalculated prospectively to reflect actual payments to date plus anticipated future payments. Any adjustments resulting from changes in effective yield are reflected in "Net investment income".

*Net Investment Gains (Losses)*

Net investment gains (losses) include realized gains and losses from the sale of investments, write-downs for other-than-temporary impairments of AFS investments, and gains and losses on derivative investments. Realized gains and losses on the sale of investments are determined using the specific identification method.

*Product Fees*

Product fee revenue from IUL products and deferred annuities is comprised of policy and contract fees charged for the cost of insurance, policy administration and rider fees is assessed on a monthly basis and recognized as revenue when assessed and earned. Product fee revenue also includes surrender charges which are recognized and collected when the policy is surrendered.

***Benefits and Other Changes in Policy Reserves***

Benefit expenses for deferred annuity, FIA and IUL policies include index credits and interest credited to contractholder account balances and benefit claims incurred during the period in excess of contract account balances. Interest crediting rates associated with funds invested in the general account of our insurance subsidiaries during 2012 through 2014 ranged from 0.0% to 6.0% for deferred annuities and FIA's combined, and 0.0% to 5.5% for IUL's. Other changes in policy reserves include the change in the fair value of the FIA embedded derivative and the change in the reserve for secondary guarantee benefit payments.

Other changes in policy reserves also include the change in reserves for life insurance products. For traditional life and immediate annuities, policy benefit claims are charged to expense in the period that the claims are incurred.

***Stock-Based Compensation***

In general, we expense the fair value of stock awards included in our incentive compensation plans and stock awards to our employees and officers under FGL's incentive compensation plan. As of the date FGL stock awards are approved and communicated to the recipients, the fair value of stock options is determined using a Black-Scholes options valuation methodology, and the fair value of other stock awards is based upon the market value of FGL's stock. The fair value of the awards is expensed over the performance or service period, which generally corresponds to the vesting period, and is recognized as an increase to "Additional paid-in capital" in "Stockholders' equity" as it represents a form of capital contribution from FGL to the Company. We classify the stock awards under the FGLH plans as liabilities. For these awards, the fair value is classified as a liability on our Consolidated Balance Sheets, and the liability is marked-to-market through net income at the end of each reporting period. Stock-based compensation expense is reflected in "Acquisition and operating expenses, net of deferrals" on our Consolidated Statements of Operations.

***Interest Expense***

Interest expense on our short-term and long-term debt is recognized as due and any associated premiums, discounts, and costs are amortized (accreted) over the term of the related borrowing utilizing the straight line method. Interest expense also includes non-use fees on the revolving credit facility entered into in August 2014.

***Cash and Cash Equivalents***

The Company considers all highly liquid debt instruments purchased with original maturities of three months or less to be cash equivalents. As of September 30, 2014 and 2013, there were no cash equivalents.

***Investments***

*Investment Securities*

The Company's investments in debt and equity securities have been designated as AFS and are carried at fair value with unrealized gains and losses included in "Accumulated other comprehensive income" ("AOCI"), net of associated intangibles "shadow adjustments" (discussed in Note 7) and deferred income taxes.

*Available-for-Sale Securities Other-Than-Temporary Impairments ("OTTI")*

The Company regularly reviews AFS securities for declines in fair value that it determines to be other-than-temporary. For an equity security, if the Company does not have the ability and intent to hold the security for a sufficient period of time to allow for a recovery in value, it concludes that an other-than-temporary impairment has occurred and the cost of the equity security is written down to the current fair value, with a corresponding charge to "Net investment gains (losses)" in the accompanying Consolidated Statements of Operations. When assessing its ability and intent to hold an equity security to recovery, the Company considers, among other things, the severity and duration of the decline in fair value of the equity security as well as the cause of the decline, a fundamental analysis of the liquidity, business prospects and the overall financial condition of the issuer.

For its fixed maturity available-for-sale securities, the Company generally considers the following in determining whether its unrealized losses are other-than-temporary:

- The estimated range and period until recovery;
- Current delinquencies and nonperforming assets of underlying collateral;
- Expected future default rates;
- Collateral value by vintage, geographic region, industry concentration or property type;
- Subordination levels or other credit enhancements as of the balance sheet date as compared to origination; and
- Contractual and regulatory cash obligations.

The Company recognizes OTTI on debt (including redeemable and perpetual preferred stocks) securities in an unrealized loss position when one of the following circumstances exists:

- The Company does not expect full recovery of its amortized cost based on the estimate of cash flows expected to be collected;
- The Company intends to sell a security; or
- It is more likely than not that the Company will be required to sell a security prior to recovery.

If the Company intends to sell a debt security or it is more likely than not the Company will be required to sell the security before recovery of its amortized cost basis and the fair value of the security is below amortized cost, the Company will conclude that an other-than-temporary impairment has occurred and the amortized cost is written down to current fair value, with a corresponding charge to "Net investment gains (losses)" in the accompanying Consolidated Statements of Operations. If the Company does not intend to sell a debt security or it is more likely than not the Company will not be required to sell a debt security before recovery of its amortized cost basis and the present value of the cash flows expected to be collected is less than the amortized cost of the security (referred to as the credit loss), an other-than-temporary impairment has occurred and the amortized cost is written down to the estimated recovery value with a corresponding charge to "Net investment gains (losses)" in the accompanying Consolidated Statements of Operations, as this amount is deemed the credit loss portion of the other-than-temporary impairment. The remainder of the decline to fair value is recorded in AOCI as unrealized

other-than-temporary impairment on available-for-sale securities, as this amount is considered a non-credit (i.e., recoverable) impairment.

When assessing the Company's intent to sell a debt security or if it is more likely than not the Company will be required to sell a debt security before recovery of its cost basis, the Company evaluates facts and circumstances such as, but not limited to, decisions to reposition the Company's security portfolio, sale of securities to meet cash flow needs and sales of securities to capitalize on favorable pricing and tax planning strategies. In order to determine the amount of the credit loss for a security, the Company calculates the recovery value by performing a discounted cash flow analysis based on the current cash flows and future cash flows the Company expects to recover. The discount rate is the effective interest rate implicit in the underlying security. The effective interest rate is the original purchased yield or the yield at the date the debt security was previously impaired.

When evaluating redeemable preferred stocks for other-than-temporary-impairments the Company applies the accounting policy described above for debt securities. Additionally, the SEC's staff in the Office of the Chief Accountant issued a letter (SEC OTTI Release) to the Financial Accounting Standards Board ("FASB") on October 14, 2008, providing clarifying guidance on how to assess impairments of perpetual preferred securities ("PPS"), including perpetual preferred stock. After consultation with and concurrence of the FASB staff, the SEC staff has concluded that it will not object to an issuer treating a PPS similar to a debt security in an OTTI evaluation (including an anticipated recovery period), provided there has been no evidence of a deterioration in credit of the issuer. Consequently, we apply the OTTI guidance of debt securities to perpetual preferred stock.

When evaluating mortgage-backed securities and asset-backed securities, the Company considers a number of pool-specific factors as well as market level factors when determining whether or not the impairment on the security is temporary or other-than-temporary. The most important factor is the performance of the underlying collateral in the security and the trends of that performance. The Company uses this information about the collateral to forecast the timing and rate of mortgage loan defaults, including making projections for loans that are already delinquent and for those loans that are currently performing but may become delinquent in the future. Other factors used in this analysis include type of underlying collateral (e.g., prime, Alternative A-paper ("Alt-A"), or subprime), geographic distribution of underlying loans and timing of liquidations by state. Once default rates and timing assumptions are determined, the Company then makes assumptions regarding the severity of a default if it were to occur. Factors that impact the severity assumption include expectations for future home price appreciation or depreciation, loan size, first lien versus second lien, existence of loan level private mortgage insurance, type of occupancy and geographic distribution of loans. Once default and severity assumptions are determined for the security in question, cash flows for the underlying collateral are projected, including expected defaults and prepayments. These cash flows on the collateral are then translated to cash flows on the Company's tranche based on the cash flow waterfall of the entire capital security structure. If this analysis indicates the entire principal on a particular security will not be returned, the security is reviewed for OTTI by comparing the present value of expected cash flows to amortized cost. To the extent that the security has already been impaired or was purchased at a discount, such that the amortized cost of the security is less than or equal to the present value of cash flows expected to be collected, no impairment is required. The Company also considers the ability of monoline insurers to meet their contractual guarantees on wrapped mortgage-backed securities. Otherwise, if the amortized cost of the security is greater than the present value of the cash flows expected to be collected, then an other-than-temporary impairment is recognized.

The Company includes on the face of the Consolidated Statements of Operations the total OTTI recognized in "Net investment gains (losses)", with an offset for the amount of non-credit impairments recognized in AOCI. The Company discloses the amount of OTTI recognized in AOCI and other disclosures related to OTTI in Note 4 and the Consolidated Statements of Comprehensive Income.

***Derivative Financial Instruments***

The Company hedges certain portions of its exposure to product related equity market risk by entering into derivative transactions. All of such derivative instruments are recognized as either assets or liabilities in the accompanying Consolidated Balance Sheets at fair value. The change in fair value is recognized within "Net investment gains (losses)" in the accompanying Consolidated Statements of Operations.

The Company purchases financial instruments and issues products that may contain embedded derivative instruments. If it is determined that the embedded derivative possesses economic characteristics that are not clearly and closely related to the economic characteristics of the host contract, and a separate instrument with the same terms would qualify as a derivative instrument, the embedded derivative is bifurcated from the host contract for

measurement purposes. The embedded derivative is carried at fair value with changes in fair value reported in the accompanying Consolidated Statements of Operations.

***Intangible Assets***

The Company's intangible assets include value of business acquired ("VOBA"), deferred acquisition cost ("DAC") and deferred sales inducements ("DSI").

VOBA is an intangible asset that reflects the estimated fair value of in-force contracts in a life insurance company acquisition less the amount recorded as insurance contract liabilities. It represents the portion of the purchase price that is allocated to the value of the rights to receive future cash flows from the business in force at the acquisition date. DAC represents costs that are related directly to new or renewal insurance contracts, which may be deferred to the extent recoverable. These costs include incremental direct costs of contract acquisition, primarily commissions, as well as certain costs related directly to underwriting, policy issuance and processing. DSI represents up front bonus credits and vesting bonuses to policyholder account values, which are accounted for similarly to DAC and are recorded within the DAC asset balance.

The methodology for determining the amortization of DAC and VOBA varies by product type. For all insurance contracts accounted for under long-duration contract deposit accounting, amortization is based on assumptions consistent with those used in the development of the underlying contract adjusted for emerging experience and expected trends. DAC and VOBA amortization are reported within "Amortization of intangibles" in the accompanying Consolidated Statements of Operations.

DAC and VOBA for investment-type products and DAC for IUL products are generally amortized over the lives of the policies in relation to the incidence of estimated gross profits ("EGPs") from investment income, surrender charges and other product fees, policy benefits, maintenance expenses, mortality net of reinsurance ceded and expense margins, and recognized gains (losses) on investments and changes in fair value of the coinsurance embedded derivative.

Changes in assumptions can have a significant impact on DAC and VOBA balances and amortization rates. Due to the relative size and sensitivity to minor changes in underlying assumptions of DAC and VOBA balances, the Company performs quarterly and annual analyses of DAC and VOBA for the annuity and IUL businesses. The DAC and VOBA balances are also periodically evaluated for recoverability to ensure that the unamortized portion does not exceed the expected recoverable amounts. At each evaluation date, actual historical gross profits are reflected, and estimated future gross profits and related assumptions are evaluated for continued reasonableness. Any adjustment in estimated future gross profits requires that the amortization rate be revised ("unlocking") retroactively to the date of the policy or contract issuance. The cumulative unlocking adjustment is recognized as a component of current period amortization.

The carrying amounts of DAC and VOBA are adjusted for the effects of realized and unrealized gains and losses on debt securities classified as available-for-sale and certain derivatives and embedded derivatives. Amortization expense of DAC and VOBA reflects an assumption for an expected level of credit-related investment losses. When actual credit-related investment losses are realized, the Company performs a retrospective unlocking of DAC and VOBA amortization as actual margins vary from expected margins. This unlocking is reflected in the accompanying Consolidated Statements of Operations.

For investment-type products, the DAC and VOBA assets are adjusted for the impact of unrealized gains (losses) on investments as if these gains (losses) had been realized, with corresponding credits or charges included in AOCI.

***Reinsurance***

The Company's insurance subsidiaries enter into reinsurance agreements with other companies in the normal course of business. The assets, liabilities, premiums and benefits of certain reinsurance contracts are presented on a net basis in the accompanying Consolidated Balance Sheets and Consolidated Statements of Operations, respectively, when there is a right of offset explicit in the reinsurance agreements. All other reinsurance agreements are reported on a gross basis in the Company's Consolidated Balance Sheets as an asset for amounts recoverable from reinsurers or as a component of other liabilities for amounts, such as premiums, owed to the reinsurers, with the exception of amounts for which the right of offset also exists. Premiums and benefits are reported net of insurance ceded.

***Income Taxes***

FGLH and certain of its non-life insurance subsidiaries are included in the consolidated U.S. Federal income tax return of HGI. The Company's life insurance subsidiaries file a consolidated life insurance income tax return. Income taxes are accounted for under the asset and liability method. Deferred tax assets and liabilities are recognized for the future tax consequences attributable to differences between the financial statement carrying amounts of existing assets and liabilities and their respective tax basis and operating loss and tax credit carryforwards. Deferred tax assets and liabilities are measured using enacted tax rates expected to apply to taxable income in the years in which those temporary differences are expected to be recovered or settled. The Company assesses the recoverability of its deferred tax assets in each reporting period under the guidance outlined within Accounting Standards Codification ("ASC") Topic 740, "Income Taxes". The guidance requires an assessment of both positive and negative evidence in determining the realizability of deferred tax assets. A valuation allowance is required to reduce the Company's deferred tax asset to an amount that is more likely than not to be realized. In determining the net deferred tax asset and valuation allowance, management is required to make judgments and estimates related to projections of future profitability. These judgments include the following: the timing and extent of the utilization of net operating loss carry-forwards, the reversals of temporary differences, and tax planning strategies. Because of the change in facts and circumstances described in Note 12 of the Financial Statements, the Company determined that a portion of its existing deferred tax assets that had previously had a valuation allowance placed against them, were now more likely than not recoverable. The effect on deferred tax assets and liabilities of a change in tax rates is recognized in income in the period that includes the enactment date. The Company has the ability and intent to recover in a tax-free manner assets (or liabilities) with book/tax basis differences for which no deferred taxes have been provided, in accordance with ASC Topic 740.

The Company applies the accounting guidance for uncertain tax positions which prescribes a minimum recognition threshold a tax position is required to meet before being recognized in the financial statements. The guidance also provides information on de-recognition, measurement, classification, interest and penalties, accounting in interim periods, disclosure and transition. The Company recognizes the effect of income tax positions only if those positions are more likely than not of being sustained. Recognized income tax positions are measured at the largest amount that is greater than 50% likely of being realized. Changes in recognition or measurement are reflected in the period in which the change in judgment occurs. Accrued interest expense and penalties related to uncertain tax positions are recorded in "Income tax expense (benefit)" in the Company's Consolidated Statements of Operations. The Company had no unrecognized tax benefits related to uncertain tax positions as of September 30, 2014 and 2013.

***Contractholder Funds***

The liabilities for contractholder funds for deferred annuities, IUL and UL policies consist of contract account balances that accrue to the benefit of the contractholders, excluding surrender charges and other liabilities. The liabilities for FIAs consist of the value of the host contract plus the value of the embedded derivative. The embedded derivative is carried at fair value in "Contractholder funds" in the accompanying Consolidated Balance Sheets with changes in fair value reported in the accompanying Consolidated Statements of Operations. Liabilities for immediate annuities without life contingencies are the present value of future benefits.

Liabilities for the secondary guarantees on UL-type products or Investment-type contracts are calculated by multiplying the benefit ratio by the cumulative assessments recorded from contract inception through the balance sheet date less the cumulative secondary guarantee benefit payments plus interest. If experience or assumption changes result in a new benefit ratio, the reserves are adjusted to reflect the changes in a manner similar to the unlocking of DAC and VOBA. The accounting for secondary guarantee benefits impacts, and is impacted by, EGPs used to calculate amortization of DAC and VOBA.

***Future Policy Benefits***

The liabilities for future policy benefits and claim reserves for traditional life policies and life contingent pay-out annuity policies are computed using assumptions for investment yields, mortality and withdrawals based principally on generally accepted actuarial methods and assumptions at the time of contract issue. Investment yield assumptions for traditional direct life reserves for all contracts range from 5.8% to 6.2%. The investment yield assumptions for life contingent pay-out annuities range from 0.8% to 6.0%.

***Federal Home Loan Bank of Atlanta Agreements***

Contractholder funds include funds related to funding agreements that have been issued by the Company to the Federal Home Loan Bank of Atlanta ("FHLB") as a funding medium for single premium funding agreements.

Funding agreements were issued to the FHLB in 2012 and prior periods. The funding agreements (i.e., immediate annuity contracts without life contingencies) provide a guaranteed stream of payments. Single premiums were received at the initiation of the funding agreements and were in the form of advances from the FHLB. Payments under the funding agreements extend through 2022. The reserves for the funding agreements totaled $525.8 and $551.4 at September 30, 2014 and 2013, respectively, and are included in "Contractholder funds" in the accompanying Consolidated Balance Sheets.

In accordance with the agreements, the investments supporting the funding agreement liabilities are pledged as collateral to secure the FHLB funding agreement liabilities. The collateral investments had a fair value of $573.2 and $604.9 at September 30, 2014 and 2013, respectively.

***Commitments and Contingencies***

Contingencies arising from environmental remediation costs, regulatory judgments, claims, assessments, guarantees, litigation, recourse reserves, fines, penalties and other sources are recorded when deemed probable and reasonably estimable.

***Recent Accounting Pronouncements***

*Offsetting Assets and Liabilities*

In December 2011, the FASB issued amended disclosure requirements for offsetting financial assets and financial liabilities to allow investors to better compare financial statements prepared under GAAP with financial statements prepared under International Financial Reporting Standards. The new standards are effective for the Company beginning in the first quarter of its fiscal year ending September 30, 2014. ASU 2011-11 *Disclosures about Offsetting Assets and Liabilities* - was adopted by the Company effective October 1, 2013. The Company does not offset any of its derivative transactions, including bifurcated embedded derivatives, in its statement of financial position. The Company only enters into purchased equity options and long futures contracts. The Company has not entered into any repurchase and reverse repurchase agreements or securities borrowing and lending transactions. Accordingly, no additional disclosures are required.

*Investments in Qualified Affordable Housing Projects*

In January 2014, the FASB issued amended guidance which allows investors in Low Income Housing Tax Credit ("LIHTC") programs that meet specified conditions to present the net tax benefits (net of the amortization of the cost of the investment) within income tax expense. The cost of the investments that meet the specified conditions will be amortized in proportion to (and over the same period as) the total expected tax benefits, including the tax credits and other tax benefits, as they are realized on the tax return. The guidance is required to be applied retrospectively, if investors elect the proportional amortization method. However, if investors have existing LIHTC investments accounted for under the effective-yield method at adoption, they may continue to apply that method for those existing investments. ASU 2014-01, *Investments - Equity Method and Joint Ventures (Topic 323): Accounting for Investments in Qualified Affordable Housing Project*, will become effective for the Company beginning in the first quarter of its fiscal year ending September 30, 2016. The Company is currently evaluating the impact of this new accounting guidance on its consolidated financial position and results of operations.

**(3) Significant Risks and Uncertainties**

***Use of Estimates***

The preparation of financial statements in conformity with GAAP requires management to make estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the date of the financial statements and the reported amounts of revenues and expenses during the reporting period. Due to the inherent uncertainty involved in making estimates, actual results in future periods could differ from those estimates.

The Company's significant estimates which are susceptible to change in the near term relate to (1) recognition of deferred tax assets and related valuation allowances, (2) fair value of certain invested assets and derivatives

including embedded derivatives (see Notes 4 and 5), (3) other-than-temporary impairment ("OTTI") of available-for-sale investments (see Note 4), (4) amortization of intangibles (see Note 7), and (5) estimates of reserves for loss contingencies, including litigation and regulatory reserves (see Note 13), and (6) reserves for future policy benefits and product guarantees.

The Company periodically, and at least annually, reviews the assumptions associated with reserves for policy benefits and products guarantees and amortization of intangibles. As part of the assumption review process that occurred in September 2014 and 2013, changes were made to the surrender rates, earned rates and future index credits to bring the assumptions in line with current and expected future experience. The change in assumptions as of September 30, 2014 resulted in a net decrease in future expected margins and corresponding "unlocking" and amortization adjustments, decreasing intangible assets due to increasing net intangible asset amortization by $2.2 in Fiscal 2014. These assumptions are also used in the reserve calculation and resulted in a decrease in reserves of $4.4 during Fiscal 2014. The change in assumptions as of September 30, 2013 resulted in a net increase in future expected margins and corresponding "unlocking" and amortization adjustments, increasing intangible assets and reducing the net intangible asset amortization by $33.1 in Fiscal 2013. These assumptions are also used in the FIA embedded derivative reserve calculation and resulted in a decrease in benefits and other changes in policy reserves and a decrease in reserves of $45.3 during Fiscal 2013, net of related intangible amortization.

***Concentrations of Financial Instruments***

As of September 30, 2014 and 2013, the Company's most significant investment in one industry, excluding U.S. Government securities, was its investment securities in the banking industry with a total fair value of $2,228.1, or 11.9% and $1,892.1 or 11.7%, respectively, of the invested assets portfolio. The Company's holdings in this industry include investments in 84 different issuers with the top ten investments accounting for 40.2% of the total holdings in this industry. As of September 30, 2014, the Company had investments in 2 issuers, Wells Fargo & Company and and J.P. Morgan Chase, that exceeded 10% of stockholders equity with a total fair value of $365.3 or 1.9% of the invested assets portfolio. As of September 30, 2013, the Company had investments in 6 issuers, Wells Fargo & Company, Prudential Financial Inc., J.P. Morgan Chase and Company, Goldman Sachs Group, Inc., Citigroup Inc., and Metropolitan Transportation Authority, that exceeded 10% of stockholders equity with a total fair value of $788.7 or 4.9% of the invested assets portfolio. Additionally, the Company's largest concentration in any single issuer as of September 30, 2014 and 2013 was in Wells Fargo & Company, which had a fair value of $185.4 or 1.0% and $150.7 or 0.9% of the invested assets portfolio, respectively.

***Concentrations of Financial and Capital Markets Risk***

The Company is exposed to financial and capital markets risk, including changes in interest rates and credit spreads which can have an adverse effect on the Company's results of operations, financial condition and liquidity. The Company expects to continue to face challenges and uncertainties that could adversely affect its results of operations and financial condition.

The Company's exposure to interest rate risk relates primarily to the market price and cash flow variability associated with changes in interest rates. A rise in interest rates, in the absence of other countervailing changes, will decrease the net unrealized gain position of the Company's investment portfolio and, if long-term interest rates rise dramatically within a six to twelve month time period, certain of the Company's products may be exposed to disintermediation risk. Disintermediation risk refers to the risk that policyholders may surrender their contracts in a rising interest rate environment, requiring the Company to liquidate assets in an unrealized loss position. This risk is mitigated to some extent by the high level of surrender charge protection provided by the Company's products.

***Concentration of Reinsurance Risk***

The Company has a significant concentration of reinsurance with Wilton Reassurance Company ("Wilton Re") and Front Street RE (Cayman) Ltd. ("FSRCI"), an affiliate, that could have a material impact on the Company's financial position in the event that Wilton Re or FSRCI fail to perform their obligations under the various reinsurance treaties. Wilton Re is a wholly owned subsidiary of Canada Pension Plan Investment Board ("CPPIB"). CPPIB has an AAA credit rating from Standard & Poor's Ratings Services ("S&P") as of September 30, 2014. As of September 30, 2014, the net amount recoverable from Wilton Re was $1,508.8 and the net amount recoverable from FSRCI was $1,267.2. The Company monitors both the financial condition of individual reinsurers and risk concentration arising from similar geographic regions, activities and economic characteristics of reinsurers to reduce the risk of default by such reinsurers.

## (4) Investments

The Company's debt and equity securities have been designated as available-for-sale and are carried at fair value with unrealized gains and losses included in AOCI net of associated adjustments for VOBA, DAC and deferred income taxes. The Company's consolidated investments at September 30, 2014 and 2013 are summarized as follows:

| | September 30, 2014 | | | | |
|---|---|---|---|---|---|
| | Amortized Cost | Gross Unrealized Gains | Gross Unrealized Losses | Fair Value | Carrying Value |
| **Available-for sale securities** | | | | | |
| Asset-backed securities | $ 2,040.4 | $ 11.8 | $ (19.8) | $ 2,032.4 | $ 2,032.4 |
| Commercial mortgage-backed securities | 617.6 | 21.3 | (2.0) | 636.9 | 636.9 |
| Corporates | 9,329.1 | 499.2 | (48.9) | 9,779.4 | 9,779.4 |
| Equities | 629.0 | 23.8 | (4.4) | 648.4 | 648.4 |
| Hybrids | 1,279.1 | 52.2 | (15.2) | 1,316.1 | 1,316.1 |
| Municipals | 1,149.9 | 116.2 | (6.3) | 1,259.8 | 1,259.8 |
| Agency residential mortgage-backed securities | 104.3 | 3.1 | (0.1) | 107.3 | 107.3 |
| Non-agency residential mortgage-backed securities | 1,880.5 | 137.2 | (11.0) | 2,006.7 | 2,006.7 |
| U.S. Government | 291.0 | 6.4 | (1.4) | 296.0 | 296.0 |
| **Total available-for-sale securities** | 17,320.9 | 871.2 | (109.1) | 18,083.0 | 18,083.0 |
| Derivative investments | 177.7 | 123.3 | (4.7) | 296.3 | 296.3 |
| Other invested assets | 373.4 | — | (0.5) | 372.9 | 372.9 |
| **Total investments** | $ 17,872.0 | $ 994.5 | $ (114.3) | $ 18,752.2 | $ 18,752.2 |

| | September 30, 2013 | | | | |
|---|---|---|---|---|---|
| | Amortized Cost | Gross Unrealized Gains | Gross Unrealized Losses | Fair Value | Carrying Value |
| **Available-for-sale securities** | | | | | |
| Asset-backed securities | $ 1,745.2 | $ 24.5 | $ (5.2) | $ 1,764.5 | $ 1,764.5 |
| Commercial mortgage-backed securities | 431.3 | 24.6 | (1.6) | 454.3 | 454.3 |
| Corporates | 8,965.1 | 287.4 | (160.2) | 9,092.3 | 9,092.3 |
| Equities | 274.6 | 6.8 | (10.3) | 271.1 | 271.1 |
| Hybrids | 762.2 | 20.8 | (28.2) | 754.8 | 754.8 |
| Municipals | 998.8 | 48.9 | (40.7) | 1,007.0 | 1,007.0 |
| Agency residential mortgage-backed securities | 96.5 | 2.4 | (0.3) | 98.6 | 98.6 |
| Non-agency residential mortgage-backed securities | 1,304.0 | 77.5 | (13.4) | 1,368.1 | 1,368.1 |
| U.S. Government | 998.5 | 7.2 | (3.9) | 1,001.8 | 1,001.8 |
| **Total available-for-sale securities** | 15,576.2 | 500.1 | (263.8) | 15,812.5 | 15,812.5 |
| Derivatives Instruments | 141.7 | 88.5 | (8.4) | 221.8 | 221.8 |
| Other invested assets | 188.2 | — | — | 188.2 | 188.2 |
| **Total investments** | $ 15,906.1 | $ 588.6 | $ (272.2) | $ 16,222.5 | $ 16,222.5 |

Included in AOCI were cumulative unrealized gains of $0.9 and unrealized losses of $1.9 related to the non-credit portion of OTTI on non-agency residential mortgage-backed securities ("RMBS") at September 30, 2014

and 2013. The non-agency RMBS unrealized gains and losses represent the difference between amortized cost and fair value on securities that were previously impaired.

Securities held on deposit with various state regulatory authorities had a fair value of $15,009.3 and $19.4 at September 30, 2014 and 2013, respectively. The increase in securities held on deposits is due to FGL Insurance's re-domestication from Maryland to Iowa. Under Iowa regulations, insurance companies are required to hold securities on deposit in an amount no less than the Company's legal reserve as prescribed by Iowa regulations.

In accordance with the Company's FHLB agreements, the investments supporting the funding agreement liabilities are pledged as collateral to secure the FHLB funding agreement liabilities. The collateral investments had a fair value of $573.2 and $604.9 at September 30, 2014 and 2013, respectively.

The amortized cost and fair value of fixed maturity available-for-sale securities by contractual maturities, as applicable, are shown below. Actual maturities may differ from contractual maturities because issuers may have the right to call or pre-pay obligations.

| | September 30, 2014 | |
|---|---|---|
| | Amortized Cost | Fair Value |
| **Corporates, Non-structured Hybrids, Municipal and U.S. Government securities:** | | |
| Due in one year or less | $ 370.0 | $ 372.8 |
| Due after one year through five years | 2,297.6 | 2,360.2 |
| Due after five years through ten years | 3,128.9 | 3,232.7 |
| Due after ten years | 5,778.1 | 6,213.6 |
| **Subtotal** | 11,574.6 | 12,179.3 |
| **Other securities which provide for periodic payments:** | | |
| Asset-backed securities | 2,040.4 | 2,032.4 |
| Commercial mortgage-backed securities | 617.6 | 636.9 |
| Structured hybrids | 474.5 | 472.0 |
| Agency residential mortgage-backed securities | 104.3 | 107.3 |
| Non-agency residential mortgage-backed securities | 1,880.5 | 2,006.7 |
| **Total fixed maturity available-for-sale securities** | $ 16,691.9 | $ 17,434.6 |

The Company's available-for-sale securities with unrealized losses are reviewed for potential OTTI. In evaluating whether a decline in value is other-than-temporary, the Company considers several factors including, but not limited to the following: (1) the extent and the duration of the decline; (2) the reasons for the decline in value (credit event, currency or interest-rate related, including general credit spread widening); and (3) the financial condition of and near-term prospects of the issuer. The Company also considers the ability and intent to hold the investment for a period of time to allow for a recovery of value.

The Company analyzes its ability to recover the amortized cost by comparing the net present value of cash flows expected to be collected with the amortized cost of the security. For mortgage-backed and asset-backed securities, cash flow estimates consider the payment terms of the underlying assets backing a particular security, including interest rate and prepayment assumptions, based on data from widely accepted third-party data sources or internal estimates. In addition to interest rate and prepayment assumptions, cash flow estimates also include other assumptions regarding the underlying collateral including default rates and recoveries, which vary based on the asset type and geographic location, as well as the vintage year of the security. For structured securities, the payment priority within the tranche structure is also considered. For all other debt securities, cash flow estimates are driven by assumptions regarding probability of default and estimates regarding timing and amount of recoveries associated with a default. If the net present value is less than the amortized cost of the investment, an OTTI is recognized. FGLH has concluded that the fair values of the securities presented in the table below were not OTTI as of September 30, 2014.

The fair value and gross unrealized losses of available-for-sale securities, aggregated by investment category, were as follows:

| | September 30, 2014 | | | | | |
|---|---|---|---|---|---|---|
| | Less than 12 months | | 12 months or longer | | Total | |
| | Fair Value | Gross Unrealized Losses | Fair Value | Gross Unrealized Losses | Fair Value | Gross Unrealized Losses |
| **Available-for-sale securities** | | | | | | |
| Asset-backed securities | $ 939.3 | $ (12.8) | $ 289.7 | $ (7.0) | $ 1,229.0 | $ (19.8) |
| Commercial-mortgage-backed securities | 160.3 | (0.9) | 0.4 | (1.1) | 160.7 | (2.0) |
| Corporates | 816.6 | (16.3) | 1,127.8 | (32.6) | 1,944.4 | (48.9) |
| Equities | 131.1 | (1.5) | 54.9 | (2.9) | 186.0 | (4.4) |
| Hybrids | 258.2 | (2.3) | 290.0 | (12.9) | 548.2 | (15.2) |
| Municipals | — | — | 264.9 | (6.3) | 264.9 | (6.3) |
| Agency residential mortgage-backed securities | 24.1 | (0.1) | 0.6 | — | 24.7 | (0.1) |
| Non-agency residential mortgage-backed securities | 274.4 | (5.7) | 177.0 | (5.3) | 451.4 | (11.0) |
| U.S. Government | 37.3 | (0.1) | 81.7 | (1.3) | 119.0 | (1.4) |
| **Total available-for-sale securities** | $ 2,641.3 | $ (39.7) | $ 2,287.0 | $ (69.4) | $ 4,928.3 | $ (109.1) |
| Total number of available-for-sale securities in an unrealized loss position less than twelve months | | | | | | 321 |
| Total number of available-for-sale securities in an unrealized loss position twelve months or longer | | | | | | 311 |
| Total number of available-for-sale securities in an unrealized loss position | | | | | | 632 |

| | September 30, 2013 | | | | | |
|---|---|---|---|---|---|---|
| | Less than 12 months | | 12 months or longer | | Total | |
| | Fair Value | Gross Unrealized Losses | Fair Value | Gross Unrealized Losses | Fair Value | Gross Unrealized Losses |
| **Available-for-sale securities** | | | | | | |
| Asset-backed securities | $ 329.3 | $ (4.5) | $ 81.5 | $ (0.7) | $ 410.8 | $ (5.2) |
| Commercial-mortgage-backed securities | 26.6 | (0.5) | 4.8 | (1.1) | 31.4 | (1.6) |
| Corporates | 3,202.4 | (150.5) | 171.5 | (9.7) | 3,373.9 | (160.2) |
| Equities | 118.6 | (9.2) | 32.2 | (1.1) | 150.8 | (10.3) |
| Hybrids | 306.8 | (27.8) | 14.5 | (0.4) | 321.3 | (28.2) |
| Municipals | 333.3 | (27.3) | 144.4 | (13.4) | 477.7 | (40.7) |
| Agency residential mortgage-backed securities | 9.8 | (0.2) | 1.1 | (0.1) | 10.9 | (0.3) |
| Non-agency residential mortgage-backed securities | 325.2 | (12.2) | 69.9 | (1.2) | 395.1 | (13.4) |
| U.S government | 753.9 | (3.9) | — | — | 753.9 | (3.9) |
| **Total available-for-sale securities** | $ 5,405.9 | $ (236.1) | $ 519.9 | $ (27.7) | $ 5,925.8 | $ (263.8) |
| Total number of available-for-sale securities in an unrealized loss position less than twelve months | | | | | | 588 |
| Total number of available-for-sale securities in an unrealized loss position twelve months or longer | | | | | | 78 |
| Total number of available-for-sale securities in an unrealized loss position | | | | | | 666 |

At September 30, 2014 and 2013, securities in an unrealized loss position were primarily concentrated in investment grade corporate debt instruments. Agency residential mortgage-backed securities had positions with an unrealized loss of $0.1 as of September 30, 2014.

At September 30, 2014 and 2013, securities with a fair value of $0.2 and $60.9, respectively, were depressed greater than 20% of amortized cost (excluding U.S. Government and U.S. Government sponsored agency securities), which represented less than 1% of the carrying values of all investments.

The following table provides a reconciliation of the beginning and ending balances of the credit loss portion of OTTI on fixed maturity securities held by the Company for the years ended September 30, 2014, and 2013, for which a portion of the OTTI was recognized in AOCI:

| | Year ended September 30, | |
|---|---|---|
| | 2014 | 2013 |
| **Beginning balance** | $ 2.7 | $ 2.7 |
| Increases attributable to credit losses on securities: | | |
| Other-than-temporary impairment was previously recognized | — | — |
| Other-than-temporary impairment was not previously recognized | — | — |
| **Ending balance** | $ 2.7 | $ 2.7 |

For the year ended September 30, 2014, the Company recognized impairment losses in operations totaling $0.7, including credit impairments of $0.6 and change-of-intent impairments of $0.1related to fixed maturity securities and low income housing tax credit investments with an amortized cost of $1.8 and a fair value of $1.1 at September 30, 2014. For the year ended September 30, 2013, the Company recognized impairment losses in operations totaling $2.9, including credit impairments of $0.8 and change-of-intent impairments of $2.1 related to fixed maturity securities, non-agency residential mortgage-backed securities and low income housing tax credit securities with an amortized cost of $9.6 and a fair value of $6.7 at September 30, 2013. For the year ended September 30, 2012, the Company recognized impairment losses in operations totaling $22.8, including credit impairments of $5.7, and change-of-intent impairments of $17.1, as well as non-credit losses in other comprehensive income of $1.5 for investments which experienced OTTI and had an amortized cost of $162.3 and a fair value of $138.0 at September 30, 2012.

Details underlying write-downs taken as a result of OTTI that were recognized in net income and included in net realized gains on securities were as follows:

| | Year ended September 30, | | |
|---|---|---|---|
| | 2014 | 2013 | 2012 |
| OTTI recognized in net income: | | | |
| Corporates | $ — | $ 1.2 | $ 4.1 |
| Municipals | 0.3 | — | — |
| Hybrids | — | — | 9.7 |
| Non-agency residential mortgage-backed securities | 0.1 | 1.2 | 7.5 |
| Other assets | 0.3 | 0.5 | 1.5 |
| Total OTTI | $ 0.7 | $ 2.9 | $ 22.8 |

The portion of OTTI recognized in AOCI is disclosed in the Statement of Comprehensive Income.

### *Net Investment Income*

The major sources of "Net investment income" on the accompanying Consolidated Statements of Operations were as follows:

| | Year ended September 30, | | |
|---|---|---|---|
| | 2014 | 2013 | 2012 |
| Fixed maturity available-for-sale securities | $ 722.9 | $ 653.6 | $ 705.1 |
| Equity available-for-sale securities | 22.5 | 14.2 | 14.0 |
| Related party loans | 7.1 | 8.0 | 2.0 |
| Invested cash and short-term investments | 0.3 | 1.4 | 4.8 |
| Other investments | 22.5 | 9.2 | 1.9 |
| Gross investment income | 775.3 | 686.4 | 727.8 |
| Investment expense | (16.4) | (13.5) | (11.6) |
| **Net investment income** | $ 758.9 | $ 672.9 | $ 716.2 |

### *Net Investment Gains*

Details underlying "Net investment gains" reported on the accompanying Consolidated Statements of Operations were as follows:

| | Year ended September 30, | | |
|---|---|---|---|
| | 2014 | 2013 | 2012 |
| Net realized gains on fixed maturity available-for-sale securities | $ 102.5 | $ 274.4 | $ 264.4 |
| Realized (losses) gains on equity securities | (1.1) | 3.4 | 0.9 |
| Net realized gains on securities | 101.4 | 277.8 | 265.3 |
| Realized gains (losses) on certain derivative instruments | 209.2 | 135.7 | (10.3) |
| Unrealized gains on certain derivative instruments | 36.6 | 13.2 | 156.3 |
| Change in fair value of reinsurance related embedded derivative | (41.6) | 118.0 | — |
| Change in fair value of other embedded derivatives | 1.5 | — | — |
| Realized gains on derivatives and embedded derivatives | 205.7 | 266.9 | 146.0 |
| Realized losses on other invested assets | (1.5) | (0.1) | (1.3) |
| **Net investment gains** | $ 305.6 | $ 544.6 | $ 410.0 |

For the year ended September 30, 2014, principal repayments, calls, tenders, and proceeds from the sale of fixed maturity available-for-sale securities totaled $4,908.7, gross gains on such sales totaled $107.4 and gross losses totaled $4.9, respectively.

For the year ended September 30, 2013, principal repayments, calls, tenders, and proceeds from the sale of fixed maturity available-for-sale securities, totaled $8,920.1, gross gains on such sales totaled $352.6 and gross losses totaled $77.2, respectively.

For the year ended September 30, 2012, principal repayments, calls, tenders, and proceeds from the sale of fixed maturity available-for-sale securities, totaled $5,723.3, gross gains on such sales totaled $295.9 and gross losses totaled $13.5, respectively.

### *Unconsolidated Variable Interest Entities*

We own two investments in variable interest entities (VIEs) that are not consolidated within the Company's financial statements. VIEs do not have sufficient equity to finance their own activities without additional financial support and certain of its investors lack certain characteristics of a controlling financial interest. These VIEs are not consolidated in the Company's financial statements for the following reasons: 1) FGL Insurance does not have any voting rights or notice rights; 2) the Company does not have any rights to remove the investment manager; and 3) the Company was not involved in the design of the investment. These characteristics indicate that FGL

Insurance lacks the ability to direct the activities, or otherwise exert control, of the VIEs and is not considered the primary beneficiary of them.

FGL Insurance participates in loans to third parties originated by Salus Capital Partners, LLC ("Salus"). Salus is an affiliated, limited liability company indirectly owned by HGI that originates senior secured asset-based loans to unaffiliated third-party borrowers. FGL Insurance also participates in Collateralized Loan Obligations (“CLOs”) managed by Salus. Because Salus is not consolidated, the Company’s maximum exposure to loss as a result of its investments in Salus is limited to the carrying value of its investments in Salus which totaled $303.6 and $261.5 as of September 30, 2014 and 2013, respectively. FGL’s investments in Salus are detailed in “Note 16. Related Party Transactions” to the Company’s Consolidated Financial Statements.

FGL Insurance also participates in an investment managed by Fifth Street Management, LLC (“Fifth Street”). Fifth Street Senior Loan Fund II (the “Fund”) invests in loans selected and/or originated by Fifth Street. Fifth Street is an unaffiliated, limited liability company that originates financing for the Fund’s investment activity through CLOs. The Company’s maximum exposure to loss as a result of its investments in Fifth Street is limited to the carrying value of its investments in Fifth Street which totaled $30.0 and $0.0 as of September 30, 2014 and 2013, respectively.

**(5) Derivative Financial Instruments**

The carrying amounts of derivative instruments, including derivative instruments embedded in FIA contracts, is as follows:

| | September 30, 2014 | September 30, 2013 |
|---|---|---|
| **Assets:** | | |
| Derivative investments: | | |
| Call options | $ 296.3 | $ 221.8 |
| Other Invested Assets: | | |
| Other embedded derivatives | 12.9 | — |
| Other Assets: | | |
| Reinsurance related embedded derivative | 76.4 | 118.0 |
| | $ 385.6 | $ 339.8 |
| **Liabilities:** | | |
| Contractholder funds: | | |
| FIA embedded derivative | $ 1,908.1 | $ 1,544.4 |
| Funds withheld for reinsurance liabilities: | | |
| Call options payable to FSRCI | 22.9 | 22.8 |
| Other liabilities: | | |
| Futures contracts | 0.5 | 1.0 |
| | $ 1,931.5 | $ 1,568.2 |

The change in fair value of derivative instruments included in the accompanying Consolidated Statements of Operations is as follows:

| | Year ended September 30, | | |
|---|---|---|---|
| | 2014 | 2013 | 2012 |
| **Revenues:** | | | |
| Net investment gains (losses): | | | |
| Call options | $ 220.3 | $ 131.5 | $ 100.0 |
| Futures contracts | 25.5 | 17.5 | 46.0 |
| Other embedded derivatives | 1.5 | — | — |
| Reinsurance related embedded derivative | (41.6) | 118.0 | — |
| | $ 205.7 | $ 267.0 | $ 146.0 |
| Net investment income: | | | |
| Available-for-sale embedded derivatives | — | — | 0.4 |
| | $ 205.7 | $ 267.0 | $ 146.4 |
| **Benefits and other changes in policy reserves:** | | | |
| FIA embedded derivatives | $ 363.7 | $ (6.4) | $ 154.5 |

***Additional Disclosures***

*Other Embedded Derivatives*

On June 16, 2014, FGL Insurance invested in a $35.0 fund-linked note issued by Nomura International Funding Pte. Ltd. The note provides for an additional payment at maturity based on the value of an embedded derivative in AnchorPath Dedicated Return Fund (the "AnchorPath Fund") of $11.3 which is based on the actual return of the fund. At September 30, 2014 the fair value of the embedded derivative is $11.2 and the fair value of the fund link note is $21.6. At maturity of the fund-linked note, FGL Insurance will receive the $35.0 face value of the note plus the value of the embedded derivative

in the AnchorPath Fund. The additional payment at maturity is an embedded derivative reported in "Other invested assets", while the host is an available-for-sale security reported in "Fixed maturities, available-for-sales".

FGL Insurance participates in loans to third parties originated by Salus, an affiliated VIE, indirectly owned by HGI that provides asset-based financing. Three of the participating loans are denominated in Canadian dollars (CAD) which is different from FGL Insurance's functional currency. Two of the participating loans include a provision for reimbursement from the borrower to FGL Insurance for any net foreign exchange losses realized by FGL Insurance under the loan in which FGL Insurance has a participation interest. FGL Insurance's ability to recover the foreign exchange losses under this loan participation is such that the Company has established an embedded derivative equal to FGL Insurance's cumulative net foreign exchange loss on this loan participation. The value of the embedded derivative is reflected in "Other invested assets" as of the balance sheet date with changes in fair value reflected in the Company's Consolidated Statement of Operations. The value of the embedded derivative at each balance sheet date is equal to the cumulative net foreign exchange loss recognized on this loan participation at the balance sheet date. The Company had realized gains of $1.2 for the year ended September 30, 2014 related to its foreign exchange embedded derivative included in other invested assets.

*Reinsurance Related Embedded Derivatives*

Effective December 31, 2012, FGL Insurance entered into a modified coinsurance arrangement with FSRCI, meaning that funds were withheld by FGL Insurance. This arrangement creates an obligation for FGL Insurance to pay FSRCI at a later date, which resulted in an embedded derivative. This embedded derivative is considered a total return swap with contractual returns that are attributable to the assets and liabilities associated with this reinsurance arrangement. The fair value of the total return swap is based on the change in fair value of the underlying assets held in the funds withheld portfolio. Investment results for the assets that support the coinsurance with funds withheld reinsurance arrangement, including gains and losses from sales, are passed directly to the reinsurer pursuant to contractual terms of the reinsurance arrangement. The reinsurance related embedded derivative is reported in “Other assets” on the Consolidated Balance Sheets and the related gains or losses are reported in “Net investment gains” on the Consolidated Statements of Operations.

*FIA Contracts*

The Company has FIA Contracts that permit the holder to elect an interest rate return or an equity index linked component, where interest credited to the contracts is linked to the performance of various equity indices, primarily the S&P 500 Index. This feature represents an embedded derivative under US GAAP. The FIA embedded derivative is valued at fair value and included in the liability for contractholder funds in the accompanying Consolidated Balance Sheets with changes in fair value included as a component of “Benefits and other changes in policy reserves” in the Consolidated Statements of Operations.

The Company purchases derivatives consisting of a combination of call options and futures contracts on the applicable market indices to fund the index credits due to FIA contractholders. The call options are one, two, three and five year options purchased to match the funding requirements of the underlying policies. On the respective anniversary dates of the index policies, the index used to compute the interest credit is reset and the Company purchases new one, two, three or five year call options to fund the next index credit. The Company manages the cost of these purchases through the terms of its FIA contracts, which permit the Company to change caps, spreads or participation rates, subject to guaranteed minimums, on each contract’s anniversary date. The change in the fair value of the call options and futures contracts is generally designed to offset the portion of the change in the fair value of the FIA embedded derivative related to index performance. The call options and futures contracts are marked to fair value with the change in fair value included as a component of “Net investment gains.” The change in fair value of the call options and futures contracts includes the gains and losses recognized at the expiration of the instrument term or upon early termination and the changes in fair value of open positions.

Other market exposures are hedged periodically depending on market conditions and the Company’s risk tolerance. The Company’s FIA hedging strategy economically hedges the equity returns and exposes the Company to the risk that unhedged market exposures result in divergence between changes in the fair value of the liabilities and the hedging assets. The Company uses a variety of techniques, including direct estimation of market sensitivities and value-at-risk to monitor this risk daily. The Company intends to continue to adjust the hedging strategy as market conditions and the Company’s risk tolerance change.

*Call option payable to FSRCI*

Under the terms of the modified coinsurance arrangement with FSRCI, FGL Insurance is required to pay FSRCI a portion of the net cost of equity option purchases and the proceeds from expirations related to the equity options which hedge the index credit feature of the reinsured FIA contracts. Accordingly, the payable to FSRCI is reflected in "Funds

withheld for reinsurance liabilities" as of the balance sheet date with changes in fair value reflected in the Company's Consolidated Statement of Operations.

*Credit Risk*

The Company is exposed to credit loss in the event of nonperformance by its counterparties on the call options and reflects assumptions regarding this nonperformance risk in the fair value of the call options. The nonperformance risk is the net counterparty exposure based on the fair value of the open contracts less collateral held. The Company maintains a policy of requiring all derivative contracts to be governed by an International Swaps and Derivatives Association ("ISDA") Master Agreement.

Information regarding the Company's exposure to credit loss on the call options it holds is presented in the following table:

| | | September 30, 2014 | | | | September 30, 2013 | | | |
|---|---|---|---|---|---|---|---|---|---|
| Counterparty | Credit Rating (Fitch/ Moody's/ S&P) (a) | Notional Amount | Fair Value | Collateral | Net Credit Risk | Notional Amount | Fair Value | Collateral | Net Credit Risk |
| Merrill Lynch | A/*/A | $ 2,239.9 | $ 92.7 | $ 52.5 | $ 40.2 | $ 2,037.8 | $ 70.7 | $ — | $ 70.7 |
| Deutsche Bank | A+/A3/A | 2,810.0 | 108.0 | 72.5 | 35.5 | 1,620.4 | 51.7 | 23.0 | 28.7 |
| Morgan Stanley | */A3/A | 2,294.7 | 85.0 | 63.0 | 22.0 | 2,264.1 | 75.7 | 49.0 | 26.7 |
| Royal Bank of Scotland | A-/*/A- | — | — | — | — | 364.3 | 20.3 | — | 20.3 |
| Barclay's Bank | A/A2/A- | 258.0 | 10.6 | — | 10.6 | 120.8 | 3.4 | — | 3.4 |
| | | $ 7,602.6 | $ 296.3 | $ 188.0 | $ 108.3 | $ 6,407.4 | $ 221.8 | $ 72.0 | $ 149.8 |

(a) Credit rating as of September 30, 2014 except for Royal Bank of Scotland which is as of September 30, 2013. An * represents credit ratings that were not available.

*Collateral Agreements*

The Company is required to maintain minimum ratings as a matter of routine practice as part of its over-the-counter derivative agreements on ISDA forms. Under some ISDA agreements, the Company has agreed to maintain certain financial strength ratings. A downgrade below these levels provides the counterparty under the agreement the right to terminate the open derivative contracts between the parties, at which time any amounts payable by the Company or the counterparty would be dependent on the market value of the underlying derivative contracts. The Company's current rating allows multiple counterparties the right to terminate ISDA agreements. No ISDA agreements have been terminated, although the counterparties have reserved the right to terminate the ISDA agreements at any time. In certain transactions, the Company and the counterparty have entered into a collateral support agreement requiring either party to post collateral when the net exposures exceed pre-determined thresholds. These thresholds vary by counterparty and credit rating. As of September 30, 2014 and 2013, counterparties posted $188.0 and $72.0, of collateral of which $135.5 and $72.0 is included in "Cash and cash equivalents" with an associated payable for this collateral included in "Other liabilities" on the Consolidated Balance Sheets. The remaining, $52.5 of non-cash collateral was held by a third-party custodian and is not included in the Company's Consolidated Balance Sheets at September 30, 2014. Accordingly, the maximum amount of loss due to credit risk that the Company would incur if parties to the call options failed completely to perform according to the terms of the contracts was $108.3 and $149.8 at September 30, 2014 and 2013, respectively.

The Company held 2,348 and 1,693 futures contracts at September 30, 2014 and 2013, respectively. The fair value of the futures contracts represents the cumulative unsettled variation margin (open trade equity net of cash settlements). The Company provides cash collateral to the counterparties for the initial and variation margin on the futures contracts which is included in "Cash and cash equivalents" in the accompanying Consolidated Balance Sheets. The amount of cash collateral held by the counterparties for such contracts was $10.8 and $5.9 at September 30, 2014 and 2013, respectively.

**(6) Fair Value of Financial Instruments**

The Company's measurement of fair value is based on assumptions used by market participants in pricing the asset or liability, which may include inherent risk, restrictions on the sale or use of an asset or non-performance risk, which may include the Company's own credit risk. The Company's estimate of an exchange price is the price in an orderly transaction between market participants to sell the asset or transfer the liability ("exit price") in the principal market, or the most advantageous market in the absence of a principal market, for that asset or liability, as opposed to the price that would be paid to acquire the asset or receive a liability ("entry price"). The Company categorizes financial instruments carried at fair value into a three-level fair value hierarchy, based on the priority of inputs to the respective valuation technique. The three-level hierarchy for fair value measurement is defined as follows:

*Level 1* -Values are unadjusted quoted prices for identical assets and liabilities in active markets accessible at the measurement date.

*Level 2* -Inputs include quoted prices for similar assets or liabilities in active markets, quoted prices from those willing to trade in markets that are not active, or other inputs that are observable or can be corroborated by market data for the term of the instrument. Such inputs include market interest rates and volatilities, spreads and yield curves.

*Level 3* - Certain inputs are unobservable (supported by little or no market activity) and significant to the fair value measurement. Unobservable inputs reflect the Company's best estimate of what hypothetical market participants would use to determine a transaction price for the asset or liability at the reporting date based on the best information available in the circumstances.

In certain cases, the inputs used to measure fair value may fall into different levels of the fair value hierarchy. In such cases, an investment's level within the fair value hierarchy is based on the lower level of input that is significant to the fair value measurement. The Company's assessment of the significance of a particular input to the fair value measurement in its entirety requires judgment and considers factors specific to the investment.

When a determination is made to classify an asset or liability within Level 3 of the fair value hierarchy, the determination is based upon the significance of the unobservable inputs to the overall fair value measurement. Because certain securities trade in less liquid or illiquid markets with limited or no pricing information, the determination of fair value for these securities is inherently more difficult. However, Level 3 fair value investments may include, in addition to the unobservable or Level 3 inputs, observable components, which are components that are actively quoted or can be validated to market-based sources.

The carrying amounts and estimated fair values of the Company's financial instruments for which the disclosure of fair values is required, including financial assets and liabilities measured and carried at fair value on a recurring basis, with the exception of investment contracts, related party loans, portions of other invested assets and debt, are summarized according to the hierarchy previously described, as follows:

| | September 30, 2014 | | | | |
|---|---|---|---|---|---|
| | Level 1 | Level 2 | Level 3 | Fair Value | Carrying Amount |
| **Assets** | | | | | |
| Cash and cash equivalents | $ 510.6 | $ — | $ — | $ 510.6 | $ 510.6 |
| Fixed maturity securities, available-for-sale: | | | | | |
| Asset-backed securities | — | 1,958.6 | 73.8 | 2,032.4 | 2,032.4 |
| Commercial mortgage-backed securities | — | 553.8 | 83.1 | 636.9 | 636.9 |
| Corporates | — | 8,945.8 | 833.6 | 9,779.4 | 9,779.4 |
| Hybrids | — | 1,316.1 | — | 1,316.1 | 1,316.1 |
| Municipals | — | 1,222.6 | 37.2 | 1,259.8 | 1,259.8 |
| Agency residential mortgage-backed securities | — | 107.3 | — | 107.3 | 107.3 |
| Non-agency residential mortgage-backed securities | — | 2,006.7 | — | 2,006.7 | 2,006.7 |
| U.S. Government | 115.6 | 180.4 | — | 296.0 | 296.0 |
| Equity securities available-for-sale | 9.9 | 598.4 | 40.1 | 648.4 | 648.4 |
| Derivative financial instruments | — | 296.3 | — | 296.3 | 296.3 |
| Reinsurance related embedded derivative, included in other assets | — | 76.4 | — | 76.4 | 76.4 |
| Related party loans | — | — | 112.7 | 112.7 | 112.7 |
| Other invested assets | — | 1.7 | 371.2 | 372.9 | 372.9 |
| Total financial assets at fair value | $ 636.1 | $ 17,264.1 | $ 1,551.7 | $ 19,451.9 | $ 19,451.9 |
| **Liabilities** | | | | | |
| Derivatives: | | | | | |
| FIA embedded derivatives, included in contractholder funds | $ — | $ — | $ 1,908.1 | $ 1,908.1 | $ 1,908.1 |
| Derivative instruments-futures contracts | — | 0.5 | — | 0.5 | 0.5 |
| Investment contracts, included in contractholder funds | — | — | 13,108.8 | 13,108.8 | 14,555.4 |
| Call options payable for FSRCI, included in funds withheld for reinsurance liabilities | — | 22.9 | — | 22.9 | 22.9 |
| Debt | — | 316.5 | — | 316.5 | 300.0 |
| Total financial liabilities at fair value | $ — | $ 339.9 | $ 15,016.9 | $ 15,356.8 | $ 16,786.9 |

| | September 30, 2013 | | | | |
|---|---|---|---|---|---|
| | Level 1 | Level 2 | Level 3 | Fair Value | Carrying Amount |
| **Assets** | | | | | |
| Cash and cash equivalents | $ 1,204.3 | $ — | $ — | $ 1,204.3 | $ 1,204.3 |
| Fixed maturity securities, available-for-sale: | | | | | |
| Asset-backed securities | — | 1,518.1 | 246.4 | 1,764.5 | 1,764.5 |
| Commercial mortgage-backed securities | — | 448.7 | 5.6 | 454.3 | 454.3 |
| Corporates | — | 8,631.1 | 461.1 | 9,092.2 | 9,092.2 |
| Hybrids | — | 754.9 | — | 754.9 | 754.9 |
| Municipals | — | 1,007.0 | — | 1,007.0 | 1,007.0 |
| Agency residential mortgage-backed securities | — | 98.6 | — | 98.6 | 98.6 |
| Non-agency residential mortgage-backed securities | — | 1,368.1 | — | 1,368.1 | 1,368.1 |
| U.S. Government | 790.9 | 210.9 | — | 1,001.8 | 1,001.8 |
| Equity securities available-for-sale | — | 271.1 | — | 271.1 | 271.1 |
| Derivative financial instruments | — | 221.8 | — | 221.8 | 221.8 |
| Reinsurance related embedded derivative, included in other assets | — | 118.0 | — | 118.0 | 118.0 |
| Related party loans | — | — | 119.0 | 119.0 | 119.0 |
| Other invested assets | — | — | 188.2 | 188.2 | 188.2 |
| Total financial assets at fair value | $ 1,995.2 | $ 14,648.3 | $ 1,020.3 | $ 17,663.8 | $ 17,663.8 |
| **Liabilities** | | | | | |
| Derivatives: | | | | | |
| FIA embedded derivatives, included in contractholder funds | $ — | $ — | $ 1,544.4 | $ 1,544.4 | $ 1,544.4 |
| Derivative instruments: futures contracts | — | 1.0 | — | 1.0 | 1.0 |
| Investment contracts, included in contractholder funds | — | — | 12,378.6 | 12,378.6 | 13,703.8 |
| Call options payable for FSRCI, included in funds withheld for reinsurance liabilities | — | 22.8 | — | 22.8 | 22.8 |
| Debt | — | 300.0 | — | 300.0 | 300.0 |
| Total financial liabilities at fair value | $ — | $ 323.8 | $ 13,923.0 | $ 14,246.8 | $ 15,572.0 |

The carrying amounts of accrued investment income, and portions of other insurance liabilities, approximate fair value due to their short duration and, accordingly, they are not presented in the tables above.

***Valuation Methodologies***

*Fixed Maturity Securities & Equity Securities*

The Company measures the fair value of its securities based on assumptions used by market participants in pricing the security. The most appropriate valuation methodology is selected based on the specific characteristics of the fixed maturity or equity security, and the Company will then consistently apply the valuation methodology to measure the security's fair value. The Company's fair value measurement is based on a market approach, which utilizes prices and other relevant information generated by market transactions involving identical or comparable securities. Sources of inputs to the market approach include a third-party pricing service, independent broker quotations or pricing matrices. The Company uses observable and unobservable inputs in its valuation methodologies. Observable inputs include benchmark yields, reported trades, broker-dealer quotes, issuer spreads, two-sided markets, benchmark securities, bids, offers and reference data. In addition, market indicators and industry and economic events are monitored and further market data will be acquired when certain thresholds are met. For certain security types, additional inputs may be used, or some of the inputs described above may not be applicable. The significant unobservable input used in the fair value measurement of equity securities available-for-sale for which the market-approach valuation technique is employed is yields for comparable securities. Increases (decreases) in the yields would result in lower or higher, respectively, fair value measurements. For broker-quoted only securities, quotes from market makers or broker-dealers are obtained from sources recognized to be market participants. The fair value of the Company's investment in mutual funds is based on the net asset value published

by the respective mutual fund and represents the value the Company would have received if it withdrew its investment on the balance sheet date. Management believes the broker quotes are prices at which trades could be executed based on historical trades executed at broker-quoted or slightly higher prices.

The Company did not adjust prices received from third parties as of September 30, 2014 and 2013. However, the Company does analyze the third-party valuation methodologies and its related inputs to perform assessments to determine the appropriate level within the fair value hierarchy.

*Derivative Financial Instruments*

The fair value of derivative assets and liabilities is based upon valuation pricing models, which represents what the Company would expect to receive or pay at the balance sheet date if it canceled the options, entered into offsetting positions, or exercised the options. Fair values for these instruments are determined externally by an independent consulting firm using market-observable inputs, including interest rates, yield curve volatilities, and other factors. The fair values of the embedded derivatives in the Company's FIA products are derived using market indices, pricing assumptions and historical data. The fair value of the reinsurance related embedded derivative in the funds withheld reinsurance agreement with FSRCI is estimated based upon the change in the fair value of the assets supporting the funds withheld from reinsurance liabilities. As the fair value of the assets is based on a quoted market price of similar assets (Level 2), the fair value of the embedded derivative is based on market-observable inputs and is classified as Level 2. The fair value of futures contracts represents the cumulative unsettled variation margin (open trade equity, net of cash settlements).

Investment contracts include deferred annuities, FIAs, IULs and immediate annuities. The fair value of deferred annuity, FIA, and IUL contracts is based on their cash surrender value (i.e. the cost the Company would incur to extinguish the liability) as these contracts are generally issued without an annuitization date. The fair value of immediate annuities contracts is derived by calculating a new fair value interest rate using the updated yield curve and treasury spreads as of the respective reporting date. At September 30, 2014 and 2013, this resulted in lower fair value reserves relative to the carrying value. The Company is not required to and has not estimated the fair value of the liabilities under contracts that involve significant mortality or morbidity risks, as these liabilities fall within the definition of insurance contracts that are exceptions from financial instruments that require disclosures of fair value.

The significant unobservable inputs used in the fair value measurement of FIA embedded derivatives included in contractholder funds are market value of option, interest swap rates, mortality multiplier, surrender rates, and non-performance spread. The mortality multiplier at September 30, 2014 and 2013 is applied to the Annuity 2000 mortality tables. Significant increases (decreases) in the market value of option in isolation would result in a higher or lower, respectively, fair value measurement. Significant increases or decreases in interest swap rates, mortality multiplier, surrender rates, or non-performance spread in isolation would result in a lower or higher, respectively, fair value measurement. Generally, a change in any one unobservable input would not result in a change in any other unobservable input.

*Other Invested Assets*

Fair value of our loan participation interest securities approximates the unpaid principal balance of the participation interest as of September 30, 2014. In making this assessment the Company considered the sufficiency of the underlying loan collateral, movements in the benchmark interest rate between origination date and September 30, 2014, the primary market participant for these securities and the short-term maturity of these loans (less than 1 year).

Fair value of our embedded derivative is based on an unobservable input, the net asset value of the AnchorPath fund at the balance sheet date. The embedded derivative is similar to a call option on the net asset value of the AnchorPath fund with a strike price of zero since FGL Insurance will not be required to make any additional payments at maturity of the fund-linked note in order to receive the net asset value of the AnchorPath fund on the maturity date. Therefore, the Black Scholes model returns the net asset value of the AnchorPath fund as the fair value of the call option regardless of the values used for the other inputs to the option pricing model. The net asset value of the AnchorPath fund is provided by the fund manager at the end of each calendar month and represents the value an investor would receive if it withdrew its investment on the balance sheet date. Therefore, the key unobservable input used in the Black Scholes model is the value of the AnchorPath fund. As the value of the AnchorPath fund increases or decreases, the fair value of the embedded derivative will increase or decrease.

Fair value of foreign exchange embedded derivative is based on the quoted USD/CAD exchange rates.

*Valuation Methodologies and Associated Inputs for Financial Instruments Not Carried at Fair Value*

The following discussion outlines the methodologies and assumptions used to determine the fair value of our financial instruments not carried at fair value. Considerable judgment is required to develop these assumptions used to measure fair value. Accordingly, the estimates shown are not necessarily indicative of the amounts that would be realized in a one-time, current market exchange of all of our financial instruments.

*Mortgage Loans on Real Estate (included within Other Invested Assets)*

The fair value of mortgage loans on real estate is established using a discounted cash flow method based on credit rating, maturity and future income. The ratings for mortgages in good standing are based on property type, location, market conditions, occupancy, debt-service coverage, loan-to-value, quality of tenancy, borrower and payment record. The fair value for impaired mortgage loans is based on the present value of expected future cash flows discounted at the loan's effective interest rate, the loan's market price or the fair value of the collateral if the loan is collateral dependent. The inputs used to measure the fair value of our mortgage loans on real estate are classified as Level 3 within the fair value hierarchy.

In September 2013, the Company initiated a commercial loan program with Principal Real Estate Investors ("Principal"). The Company has funded twelve commercial mortgage loans ("CMLs") originated and serviced by Principal with a fair value of $135.4 at September 30, 2014 which is equal to amortized cost as these loans were recently originated, none are past due, there are no material credit concerns with the borrower or the property and there has not been material changes in market interest since origination. Principal monitors the status of the payment obligations, the credit quality of the borrower and the property as well as for other events that may impact the performance and principal repayment of the CMLs. Additionally, the Company reviews Principal's valuation methodologies and processes to perform assessments. A CMLs' current standing and payment obligations are material factors in evaluating CMLs carrying value. At September 30, 2014, all twelve CMLs are current with no payments past due and there are no credit or other events which would require impairment evaluation.

*Policy Loans (included within Other Invested Assets)*

Also included in other invested assets are policy loans. We have not attempted to determine the fair values associated with our policy loans, as we believe any differences between carrying value and the fair values afforded these instruments are immaterial to our consolidated financial position and, accordingly, the cost to provide such disclosure does not justify the benefit to be derived.

*Related Party Loans*

The related party loans (discussed in Note 15) carrying value at par approximates fair value, as this is the exit price for the obligation of these loans.

*Short-Term and Long-Term Debt*

The fair value of long-term debt is based on quoted market prices. For short-term debt, excluding current maturities of long-term debt, the carrying value approximates fair value. The inputs used to measure the fair value of our short-term and long-term debt are classified as Level 2 within the fair value hierarchy.

Quantitative information regarding significant unobservable inputs used for recurring Level 3 fair value measurements of financial instruments carried at fair value as of September 30, 2014 and 2013 are as follows:

| | Fair Value at September 30, 2014 | Valuation Technique | Unobservable Input(s) | Range (Weighted average) September 30, 2014 |
|---|---|---|---|---|
| **Assets** | | | | |
| Asset-backed securities | $ 73.8 | Broker-quoted | Offered quotes | 95.45% - 109.26% (99.26%) |
| Commercial mortgage-backed securities | 83.1 | Broker-quoted | Offered quotes | 105.25% - 121.00% (118.29%) |
| Corporates | 831.6 | Broker-quoted | Offered quotes | 61.67% - 119.75% (100.04%) |
| Corporates | 2.0 | Matrix Pricing | Quoted prices | 142.30% |
| Municipals | 37.2 | Broker-quoted | Offered quotes | 106.64% |
| Equity securities available-for-sale | 6.0 | Broker-quoted | Offered quotes | 99.75% |
| Equity securities available-for-sale | 34.1 | Market-approach | Yield | 8.31% - 9.81% |
| Other invested assets: | | | | |
| Embedded derivative | 11.2 | Black Scholes model | Net asset value of AnchorPath fund | 100.00% |
| Salus participations | 213.3 | Market Pricing | Offered quotes | 100.00% |
| Total | $ 1,292.3 | | | |
| **Liabilities** | | | | |
| Derivatives: | | | | |
| FIA embedded derivatives, included in contractholder funds | $ 1,908.1 | Discounted cash flow | Market value of option | 0.00% - 49.82% (3.37%) |
| | | | SWAP rates | 1.93% - 2.64% (2.29%) |
| | | | Mortality multiplier | 80.00% |
| | | | Surrender rates | 0.50% - 75.00% (7.00%) |
| | | | Non-performance spread | 0.25% |
| Total liabilities at fair value | $ 1,908.1 | | | |

| | Fair Value at September 30, 2013 | Valuation Technique | Unobservable Input(s) | Range (Weighted average) September 30, 2013 |
|---|---|---|---|---|
| **Assets** | | | | |
| Asset-backed securities | $ 246.4 | Broker-quoted | Offered quotes | 100.00% - 107.25% (100.91%) |
| Commercial mortgage-backed securities | 5.6 | Broker-quoted | Offered quotes | 95.50% |
| Corporates | 404.5 | Broker-quoted | Offered quotes | 0.00% - 113.00% (90.45%) |
| Corporates | 56.6 | Market Pricing | Quoted prices | 90.06% - 130.92% (97.19%) |
| Salus participations, included in other invested assets | 157.0 | Market Pricing | Offered quotes | 100.00% |
| Total | $ 870.1 | | | |
| **Liabilities** | | | | |
| Derivatives: | | | | |
| FIA embedded derivatives, included in contractholder funds | $ 1,544.4 | Discounted cash flow | Market value of option | 0.00% - 38.24% (3.82%) |
| | | | SWAP rates | 1.54% - 2.77% (2.16%) |
| | | | Mortality multiplier | 80.00% |
| | | | Surrender rates | 0.50% - 75% (7%) |
| | | | Non-performance spread | 0.25% |
| Total liabilities at fair value | $ 1,544.4 | | | |

Changes in unrealized losses (gains), net in the Company's FIA embedded derivatives are included in "Benefits and other changes in policy reserves" in the Consolidated Statements of Operations.

The following tables summarize changes to the Company's financial instruments carried at fair value and classified within Level 3 of the fair value hierarchy for the years ended September 30, 2014 and 2013, respectively. This summary excludes any impact of amortization of VOBA and DAC. The gains and losses below may include changes in fair value due in part to observable inputs that are a component of the valuation methodology.

| | Year ended September 30, 2014 | | | | | |
|---|---|---|---|---|---|---|
| | | Total Gains (Losses) | | | | |
| | Balance at Beginning of Period | Included in Earnings | Included in AOCI | Net Purchases, Sales, & Settlements | Net transfer In (Out) of Level 3 (a) | Balance at End of Period |
| **Assets** | | | | | | |
| Fixed maturity securities available-for-sale: | | | | | | |
| Asset-backed securities | $ 246.4 | $ — | $ (1.3) | $ 36.1 | $ (207.4) | $ 73.8 |
| Commercial mortgage-backed securities | 5.6 | — | — | 83.5 | (6.0) | 83.1 |
| Corporates | 461.1 | — | 19.1 | 367.5 | (14.1) | 833.6 |
| Municipals | — | — | 2.2 | 35.0 | — | 37.2 |
| Equity securities available-for-sale | — | — | 1.2 | 38.9 | — | 40.1 |
| Other invested assets: | | | | | | |
| Available-for-sale embedded derivative | — | (0.1) | — | 11.3 | — | 11.2 |
| Salus participations | 157.0 | (0.4) | (0.5) | 57.2 | — | 213.3 |
| **Total assets at Level 3 fair value** | $ 870.1 | $ (0.5) | $ 20.7 | $ 629.5 | $ (227.5) | $ 1,292.3 |
| **Liabilities** | | | | | | |
| FIA embedded derivatives, included in contractholder funds | $ 1,544.4 | $ 363.7 | $ — | $ — | $ — | $ 1,908.1 |
| **Total liabilities at Level 3 fair value** | $ 1,544.4 | $ 363.7 | $ — | $ — | $ — | $ 1,908.1 |

(a) The net transfers out of Level 3 during the year ended September 30, 2014 were exclusively to Level 2.

| | Year ended September 30, 2013 | | | | | |
|---|---|---|---|---|---|---|
| | | Total Gains (Losses) | | | | |
| | Balance at Beginning of Period | Included in Earnings | Included in AOCI | Net Purchases, Sales, & Settlements | Net transfer In (Out) of Level 3 (a) | Balance at End of Period |
| **Assets** | | | | | | |
| Fixed maturity securities available-for-sale: | | | | | | |
| Asset-backed securities | $ 15.9 | $ — | $ 1.7 | $ 239.3 | $ (10.5) | $ 246.4 |
| Commercial mortgage-backed securities | 5.0 | — | (0.3) | 0.9 | — | 5.6 |
| Corporates | 135.3 | (0.3) | (13.4) | 373.3 | (33.8) | 461.1 |
| Hybrids | 8.9 | — | (0.2) | — | (8.7) | — |
| Equity securities available-for-sale | — | 0.2 | — | (0.2) | — | — |
| Other invested assets | — | — | — | 157.0 | — | 157.0 |
| **Total assets at Level 3 fair value** | $ 165.1 | $ (0.1) | $ (12.2) | $ 770.3 | $ (53.0) | $ 870.1 |
| **Liabilities** | | | | | | |
| FIA embedded derivatives, included in contractholder funds | $ 1,550.8 | $ (6.4) | $ — | $ — | $ — | $ 1,544.4 |
| Note payable to affiliate | 224.4 | — | — | (224.4) | — | — |
| **Total liabilities at Level 3 fair value** | $ 1,775.2 | $ (6.4) | $ — | $ (224.4) | $ — | $ 1,544.4 |

(a) The net transfers in and out of Level 3 during the year ended September 30, 2013 were exclusively to or from Level 2.

| | Year ended September 30, 2012 | | | | | |
|---|---|---|---|---|---|---|
| | | Total Gains (Losses) | | | | |
| | Balance at Beginning of Period | Included in Earnings | Included in AOCI | Net Purchases, Sales, & Settlements | Net transfer In (Out) of Level 3 (a) | Balance at End of Period |
| **Assets** | | | | | | |
| Fixed maturity securities available-for-sale: | | | | | | |
| Asset-backed securities | $ 374.5 | $ — | $ 7.4 | $ 371.9 | $ (737.9) | $ 15.9 |
| Commercial mortgage-backed securities | — | — | — | 5.0 | — | 5.0 |
| Corporates | 159.7 | — | (3.6) | (39.7) | 18.9 | 135.3 |
| Hybrids | 5.2 | — | — | — | 3.7 | 8.9 |
| Municipals | — | — | — | 10.2 | (10.2) | — |
| Agency residential mortgage-backed securities | 3.3 | — | — | — | (3.3) | — |
| Non-agency residential mortgage-backed securities | 3.8 | (0.1) | — | (0.8) | (2.9) | — |
| **Total assets at Level 3 fair value** | $ 546.5 | $ (0.1) | $ 3.8 | $ 346.6 | $ (731.7) | $ 165.1 |
| **Liabilities** | | | | | | |
| FIA embedded derivatives, included in contractholder funds | $ 1,396.3 | $ 154.5 | $ — | $ — | $ — | $ 1,550.8 |
| AFS embedded derivatives | 0.4 | (0.4) | — | — | | — |
| Subordinate debt | 95.0 | — | — | (95.0) | | — |
| Note payable to affiliate | 241.2 | — | — | (16.8) | — | 224.4 |
| **Total liabilities at Level 3 fair value** | $ 1,732.9 | $ 154.1 | $ — | $ (111.8) | $ — | $ 1,775.2 |

The Company reviews the fair value hierarchy classifications each reporting period. Changes in the observability of the valuation attributes may result in a reclassification of certain financial assets or liabilities. Such reclassifications are reported as transfers in and out of Level 3, or between other levels, at the beginning fair value for the reporting period in which the changes occur. There were no transfers between Level 1 and Level 2 for the year ended September 30, 2014. We transferred $79.3 U.S. Government securities from Level 1 into Level 2 for the year ended September 30, 2013, reflecting the level of market activity in these instruments. There were no transfers between Level 1 and Level 2 for the year ended September 30, 2012.

Primary market issuance and secondary market activity for certain asset-backed, hybrid and corporate securities during the fiscal years ended September 30, 2014, 2013 and 2012 increased the market observable inputs used to establish fair values for similar securities. These factors, along with more consistent pricing from third-party sources, resulted in the Company concluding that there is sufficient trading activity in similar instruments to support classifying these securities as Level 2 as of September 30, 2014, 2013 and 2012. Accordingly, the Company's assessment resulted in net transfers out of Level 3 of $227.5 related to asset backed securities, commercial mortgage backed securities and corporate securities during the year ended September 30, 2014. During the year ended September 30, 2013, there were net transfers out of Level 3 of $156.0 related to asset-backed, corporate and hybrid securities. The Company's assessment resulted in a net transfer out of Level 3 of $731.7 related to asset-backed, corporates, hybrids, municipals and residential mortgage-backed securities during the year ended September 30, 2012.

The following tables present the gross components of purchases, sales, and settlements, net, of Level 3 financial instruments for the years ended September 30, 2014, 2013 and 2012, respectively. There were no issuances during these periods.

| | Year ended September 30, 2014 | | | |
|---|---|---|---|---|
| | Purchases | Sales | Settlements | Net Purchases, Sales, & Settlements |
| **Assets** | | | | |
| Fixed maturity securities available-for-sale: | | | | |
| Asset-backed securities | $ 36.1 | $ — | $ — | $ 36.1 |
| Commercial mortgage-backed securities | 83.8 | (0.3) | — | 83.5 |
| Corporates | 381.7 | (11.8) | (2.4) | 367.5 |
| Equity securities available-for-sale | 38.9 | — | — | 38.9 |
| Municipal | 35.0 | — | — | 35.0 |
| Other invested assets: | | | | |
| Embedded derivative | 11.3 | — | — | 11.3 |
| Salus participations | 187.4 | — | (130.2) | 57.2 |
| **Total assets at fair value** | $ 774.2 | $ (12.1) | $ (132.6) | $ 629.5 |

| | Year ended September 30, 2013 | | | |
|---|---|---|---|---|
| | Purchases | Sales | Settlements | Net Purchases, Sales, & Settlements |
| **Assets** | | | | |
| Fixed maturity securities available-for-sale: | | | | |
| Asset-backed securities | $ 247.0 | $ (7.7) | $ — | $ 239.3 |
| Commercial mortgage-backed securities | 1.0 | — | (0.1) | 0.9 |
| Corporates | 409.6 | (9.6) | (26.7) | 373.3 |
| Equity securities available-for-sale | 10.5 | (10.7) | — | (0.2) |
| Other invested assets | 157.0 | — | — | 157.0 |
| **Total assets at fair value** | $ 825.1 | $ (28.0) | $ (26.8) | $ 770.3 |
| **Liabilities:** | | | | |
| Note payable to affiliate | $ — | $ — | $ (224.4) | $ (224.4) |
| **Total liabilities at fair value** | $ — | $ — | $ (224.4) | $ (224.4) |

| | Year ended September 30, 2012 | | | |
|---|---|---|---|---|
| | Purchases | Sales | Settlements | Net Purchases, Sales, & Settlements |
| **Assets** | | | | |
| Fixed maturity securities available-for-sale: | | | | |
| Asset-backed securities | $ 410.7 | $ — | $ (38.8) | $ 371.9 |
| Commercial mortgage-backed securities | 5.0 | — | — | 5.0 |
| Corporates | 1.3 | (26.8) | (14.2) | (39.7) |
| Municipals | 10.2 | — | — | 10.2 |
| Non-agency residential mortgage-backed securities | — | (0.5) | (0.3) | (0.8) |
| **Total assets at fair value** | $ 427.2 | $ (27.3) | $ (53.3) | $ 346.6 |

## (7) Intangible Assets

Information regarding VOBA and DAC which includes deferred sales inducement, is as follows:

| | VOBA | DAC | Total |
|---|---|---|---|
| **Balance at September 30, 2011** | $ 419.0 | $ 38.1 | $ 457.1 |
| Deferrals | — | 194.9 | 194.9 |
| Less: Amortization related to: | | | |
| Unlocking | (2.5) | 3.1 | 0.6 |
| Interest | 28.9 | 1.9 | 30.8 |
| Other amortization | (171.8) | (20.2) | (192.0) |
| Add: Adjustment for unrealized investment gains/losses | (169.3) | (48.6) | (217.9) |
| **Balance at September 30, 2012** | $ 104.3 | $ 169.2 | $ 273.5 |
| **Accumulated amortization** | $ 133.4 | | |

| | VOBA | DAC | Total |
|---|---|---|---|
| **Balance at September 30, 2012** | $ 104.3 | $ 169.2 | $ 273.5 |
| Deferrals | — | 147.4 | 147.4 |
| Less: Amortization related to: | | | |
| Unlocking | 35.8 | 7.4 | 43.2 |
| Interest | 21.8 | 9.5 | 31.3 |
| Other amortization | (227.8) | (71.6) | (299.4) |
| Add: Adjustment for unrealized investment gains/losses | 258.0 | 69.3 | 327.3 |
| **Balance at September 30, 2013** | $ 192.1 | $ 331.2 | $ 523.3 |
| **Accumulated amortization** | $ 303.6 | | |

| | VOBA | DAC | Total |
|---|---|---|---|
| **Balance at September 30, 2013** | $ 192.1 | $ 331.2 | $ 523.3 |
| Deferrals | — | 238.3 | 238.3 |
| Less: Amortization related to: | | | |
| Unlocking | 21.5 | 2.7 | 24.2 |
| Interest | 15.0 | 13.6 | 28.6 |
| Other amortization | (86.6) | (55.8) | (142.4) |
| Add: Adjustment for unrealized investment gains/losses | (82.7) | (74.3) | (157.0) |
| **Balance at September 30, 2014** | $ 59.3 | $ 455.7 | $ 515.0 |
| **Accumulated amortization** | $ 353.7 | | |

Amortization of VOBA and DAC is based on the amount of gross margins or profits recognized, including investment gains and losses. The interest accrual rate utilized to calculate the accretion of interest on VOBA ranged from 4.0% to 5.0%. The adjustment for unrealized net investment gains represents the amount of VOBA and DAC that would have been amortized if such unrealized gains and losses had been recognized. This is referred to as the "shadow adjustments" as the additional amortization is reflected in AOCI rather than the statement of operations. As of September 30, 2014 and 2013 the VOBA balance included cumulative adjustments for net unrealized investment gains/losses of $164.2 and $81.4 respectively, and the DAC balances included cumulative adjustments for net unrealized investment gains/losses of $55.5 and $18.6, respectively.

The above DAC balances include $32.7 and $26.2 of deferred sales inducements, net of shadow adjustments, as of September 30, 2014 and 2013, respectively.

The weighted average amortization period for VOBA is approximately 4.9 years. Estimated amortization expense for VOBA in future fiscal periods is as follows:

| Fiscal Year | Estimated Amortization Expense VOBA |
|---|---|
| 2015 | $ 35.8 |
| 2016 | 32.7 |
| 2017 | 27.1 |
| 2018 | 21.9 |
| 2019 | 23.5 |
| Thereafter | 82.4 |

**(8) Long Term Debt and Revolving Credit Facility**

In March 2013, the Company issued $300.0 aggregate principal amount of its 6.375% senior notes ("Notes Offering") due April 1, 2021, at par value, which the Company may elect to redeem after April 1, 2016. Interest payments are due semi-annually, April 1 and October 1, commencing October 1, 2013, and total interest expense was $19.1 and $9.8 for the years ended September 30, 2014 and 2013, respectively.

In connection with the Notes Offering, the Company capitalized $10.2 of debt issue costs. The fees are classified as "Other assets" in the accompanying Consolidated Balance Sheets as of September 30, 2013 and are being amortized over the redemption date using the straight-line method over the remaining term of the debt, of which $3.4 and $1.7 has been amortized for the years ended September 30, 2014 and 2013, respectively.

On February 25, 2009, the Company and OM Group (UK) Limited ("OMGUK") entered into an intercompany term loan agreement for $225.0 and a revolving credit facility agreement for $100.0. Effective April 6, 2011, a deed of novation was entered into as part of the sale of the Company to HFG whereby OMGUK transferred all of its rights, obligations and liabilities under the intercompany loan agreements to HFG. The term loan carried a 10.24% fixed rate payable annually on February 28th and total interest expense was $0 and $8.9 for the year ended September 30, 2014 and 2013, respectively.

On February 28, 2013, HFG and FGLH entered into a termination and release agreement whereby HFG notified FGLH of its election to covert the loans to equity. Accordingly, the Company converted the balance of the note payable and revolving credit facility as of February 28, 2013 of $213.3 to equity on February 28, 2013. This resulted in an increase in the Company's paid in capital without issuance of stock as FGLH is a wholly owned subsidiary of HFG. No gain or loss was recognized on the conversion of debt.

As of August 26, 2014, the Company, as borrower, and FGL as guarantor, entered into a three-year $150.0 unsecured revolving credit facility (the "Credit Agreement") with certain lenders and RBC Capital Markets and Credit Suisse Securities (USA) LLC, acting as joint lead arrangers. As of September 30, 2014, the Company capitalized $3.5 of the debt issue cost. The loan proceeds from the Credit Agreement may be used for working capital and general corporate purposes. As of September 30, 2014, the Company has not drawn on the revolver.

**(9) Other Liabilities**

Other liabilities consisted of the following:

| | Year ended September 30, | |
|---|---|---|
| | 2014 | 2013 |
| Amounts payable for investment purchases | $ 159.6 | $ 208.2 |
| Retained asset account | 211.5 | 207.5 |
| Option collateral liabilities | 135.5 | 72.0 |
| Remittances and items not allocated | 102.9 | 44.1 |
| Amounts payable to reinsurers | 51.6 | 46.9 |
| Accrued expenses | 41.8 | 35.0 |
| Deferred reinsurance revenue | 28.7 | 31.1 |
| Income taxes payable | 25.2 | 7.3 |
| Other | 80.6 | 47.9 |
| Total | $ 837.4 | $ 700.0 |

**(10) Employee Benefit Plans**

The Company sponsors a defined contribution plan in which eligible participants may defer a fixed amount or a percentage of their eligible compensation, subject to limitations, and the Company makes a discretionary matching contribution of up to 5.0% of eligible compensation. The Company has also established a nonqualified defined contribution plan for independent agents. The Company makes contributions to the plan based on both the Company's and the agent's performance. Contributions are discretionary and evaluated annually. Aggregate contributions charged to operations for the defined contribution plans, including discretionary amounts, were $1.4, $0.9 and $0.8, for the years ended September 30, 2014, 2013, and 2012, respectively.

**(11) Stock Compensation**

On November 7, 2013, FGL's Board of Directors adopted a long term stock-based incentive plan (the "FGL 2013 Stock Incentive Plan" or the "Omnibus Plan") under which certain officers, employees, directors and consultants are eligible to receive equity awards. based on the common stock of FGL. The Omnibus Plan was approved by FGL's stockholder on November 19, 2013, became effective on December 12, 2013 and expires in December 2023. FGL's Compensation Committee approved the granting of awards under the Omnibus Plan to certain employees and officers of FGLH. The Omnibus Plan is referred to as the "FGL Plan" and is accounted for as an equity plan. As of the date the stock awards are approved and communicated to the recipient, the fair value of stock options is determined using a Black-Scholes options valuation methodology, and the fair value of other stock awards is based upon the market value of the stock. The fair value of the awards is expensed over the service period, which generally corresponds to the vesting period, and is recognized as an increase to Additional paid-in capital in stockholders' equity as it represents a form of capital contribution from FGL to the Company. At this time, FGL plans to issue new shares to satisfy stock option exercises, but may use treasury shares acquired under its repurchase program authorized on September 2, 2014.

Prior to November 7, 2013, FGL did not offer stock-based compensation plans to any of its directors, employees or the directors or employees of its subsidiaries.

FGLH also sponsors stock-based incentive plans and dividend equivalent plans ("DEPs") for its employees (the "FGLH Plans"). Awards under the FGLH Plans are based on the value of the common stock of FGLH. In 2013, FGLH determined that all equity awards will be settled in cash when exercised and therefore are classified as liability plans. For these awards, the settlement value is classified as a liability, in "Other liabilities", on the Consolidated Balance Sheets and the liability is adjusted to the current fair value through net income at the end of each reporting period, which causes volatility in net income (loss) as a result of changes in the fair value of FGLH's stock. Prior to 2013, the FGLH Plans were accounted for as equity plans. The fair value of stock options is determined using a Black-Scholes options valuation methodology and the fair value of restricted stock units is based upon the fair value of FGLH's stock. In November 2013, the FGLH Plans were frozen and no new awards will be granted under these plans. Outstanding awards will be permitted to vest in accordance with the award agreements and will be cash settled upon vesting or exercise.

The Company recognized total stock compensation expense related to the FGL Plan and FGLH Plans as follows:

| | Year ended September 30, | | |
|---|---|---|---|
| | 2014 | 2013 | 2012 |
| **FGL Plan** | | | |
| Stock options | $ 0.2 | $ — | $ — |
| Restricted shares | 0.6 | — | — |
| Performance restricted stock units | 1.1 | — | — |
| | 1.9 | — | — |
| **FGLH Plans** | | | |
| Stock Incentive Plan - stock options | 6.5 | 2.5 | 0.2 |
| 2011 DEP | 0.6 | 1.5 | 0.5 |
| Amended and Restated Stock Incentive Plan - stock options | 5.1 | 0.8 | — |
| Amended and Restated Stock Incentive Plan - restricted stock units | 1.7 | 0.8 | — |
| 2012 DEP | 0.4 | 0.3 | — |
| | 14.3 | 5.9 | 0.7 |
| Total stock compensation expense | 16.2 | 5.9 | 0.7 |
| Related tax benefit | 5.7 | 2.1 | 0.3 |
| Net stock compensation expense | $ 10.5 | $ 3.8 | $ 0.4 |

The stock compensation expense is included in "Acquisition and operating expenses, net of deferrals" in the Consolidated Statements of Operations.

Total compensation expense related to the FGL Plan and FGLH Plans not yet recognized as of September 30, 2014 and the weighted-average period over which this expense will be recognized are as follows:

| | Unrecognized Compensation Expense | Weighted Average Recognition Period in Years |
|---|---|---|
| **FGL Plan** | | |
| Stock options | $ 0.5 | 2.2 |
| Restricted shares | 1.8 | 2.2 |
| Performance restricted stock units | 9.0 | 2.0 |
| | 11.3 | |
| **FGLH Plans** | | |
| Stock Incentive Plan | 0.2 | 0.1 |
| 2011 DEP | — | N/A |
| Amended and Restated Stock Incentive Plan - stock options | 2.1 | 1.3 |
| Amended and Restated Stock Incentive Plan - restricted stock units | 1.5 | 1.3 |
| 2012 DEP | 0.7 | 1.5 |
| | 4.5 | |
| **Total unrecognized stock compensation expense** | $ 15.8 | 1.8 |

## FGL Plan

FGL's Compensation Committee is authorized to grant up to 2,838 thousand equity awards under the FGL Plan. At September 30, 2014, 1,826 thousand equity awards are available for future issuance under the FGL Plan. On December 12, 2013, FGL granted 222 thousand stock options to certain officers and other key employees of the Company under the Omnibus Plan. These stock options vest in equal installments over a period of three years and expire on the seventh anniversary of the grant date. The total fair value of the option grants to certain officers on the grant date was $0.5 and the total fair value of the option grants to other key employees on the grant date was $0.3. At September 30, 2014, the intrinsic value of stock options outstanding, exercisable and vested or expected to vest was $0.9, $0 and $0.9, respectively. At September 30, 2014, the weighted average remaining contractual term of stock options outstanding, exercisable and vested or expected to vest was 6.2 years, 0 years and 6.2 years, respectively.

During the years ended September 30, 2014, 2013 and 2012 the intrinsic value of stock options exercised was $0.

A summary of the outstanding stock options granted to the Company's officers and other employees by FGL as of September 30, 2014, and related activity during the year then ended, is as follows (share amount in thousands):

| Stock Option Awards | Options | Weighted Average Exercise Price (a) | Weighted Average Grant Date Fair Value |
|---|---|---|---|
| Stock options outstanding at September 30, 2013 | — | $ — | $ — |
| Granted | 222 | 17.00 | 3.81 |
| Exercised | — | — | — |
| Forfeited or expired | (7) | 17.00 | 5.26 |
| Stock options outstanding at September 30, 2014 | 215 | 17.00 | 3.77 |
| Exercisable at September 30, 2014 | — | — | — |
| Vested or expected to vest at September 30, 2014 | 203 | 17.00 | 3.68 |

(a) The exercise price is based on the value of FGL's common stock, not the value of FGLH's common stock. The fair value of FGL stock at September 30, 2014 is $21.35.

The following assumptions were used in the determination of these grant date fair values using the Black-Scholes option pricing model and based on the value of FGL's common stock:

| | 2014 |
|---|---|
| Risk-free interest rate | 1.40% - 1.41% |
| Assumed dividend yield | 1.30% - 1.50% |
| Expected option term | 4.5 years |
| Volatility | 25% |

The dividend yield is based on the expected dividend rate during the expected life of the option. Expected volatility is based on the implied volatility of exchange-traded securities for life insurance companies. The risk-free interest rate is based on the U.S. Treasury yield curve in effect at the time of the grant. The expected life of the options granted represents the weighted-average period of time from the grant date to the date of exercise, expiration or cancellation based upon a simplified method as the Company lacks sufficient historical data due to the recent implementation of the FGL Plan.

On December 12, 2013, FGL also granted 77 thousand restricted shares to certain officers of the Company under the Omnibus Plan. In addition, FGL granted 64 thousand restricted shares to other key employees of the Company on December 12, 2013; however, these awards were not communicated to the recipients until January 30, 2014 which was determined to be the grant date for accounting purposes. These shares vest in equal installments over a period of three years. The total fair value of the restricted shares granted to certain officers on their grant date was $1.3 and the total fair value of the restricted shares granted to other key employees on the grant date was $1.3.

On September 15, 2014, FGL also granted 8 thousand restricted shares to a certain officer of the Company under the Omnibus Plan. These shares vest in equal installments over a period of two years and had a total fair value of $0.2 on their grant date.

The restricted shares are entitled to any cash dividends paid on FGL's stock prior to vesting of the restricted shares. The cash dividends are held by FGL until the shares become vested and are paid to the recipient at that time or are forfeited if the restricted shares do not vest.

A summary of the nonvested restricted shares granted to the Company's officers and other employees by FGL as of September 30, 2014, and related activity during the year then ended, is as follows (share amount in thousands):

| Restricted Stock Awards | Shares | Weighted Average Grant Date Fair Value (a) |
|---|---|---|
| Nonvested restricted shares at September 30, 2013 | — | $ — |
| Granted | 149 | 18.50 |
| Vested | — | — |
| Forfeited | (7) | 19.98 |
| Nonvested restricted shares at September 30, 2014 | 142 | 18.43 |
| Expected to vest at September 30, 2014 | 129 | 18.27 |

(a) Fair value is based on the value of FGL's common stock, not the value of FGLH's common stock.

On December 12, 2013, FGL also granted 469 thousand performance restricted stock units ("PRSUs") to senior executive officers of the Company under the Omnibus Plan. In addition, FGL granted 72 thousand PRSUs to a new senior executive officer of the Company on January 22, 2014. The award was communicated to and accepted by the senior executive officer on January 27, 2014. These units vest on September 30, 2016, contingent on the satisfaction of performance criteria and on the officer's continued employment unless otherwise noted in the agreement. PRSUs subject to vesting are adjusted based on FGL's financial yearly performance, which is evaluated on two non-GAAP measures: (1) adjusted operating income, and (2) return on equity. Depending on the performance results for each year, the ultimate payout of PRSUs could range from zero to 200% of the target award for each year. One-third of the award is earned based on each year's results. Based on the results achieved for 2014, a total of 37 thousand additional PRSUs have been earned subject to the satisfaction of the service requirement noted above. The total fair value of the PRSUs on the grant date of December 12, 2013 assuming attainment of the target performance level in each year was $8.0 and the total fair value of the PRSUs awarded to the senior executive officer on the grant date of January 27, 2014 assuming attainment of the target performance level in each year was $1.4.

A summary of the nonvested PRSUs granted to the Company's officers by FGL which were outstanding as of September 30, 2014, and related activity during the year then ended, is as follows (share amount in thousands):

| Performance Restricted Stock Units (PRSUs) | Shares | Weighted Average Grant Date Fair Value (a) |
|---|---|---|
| Nonvested PRSUs at September 30, 2013 | — | $ — |
| Granted | 578 | 17.37 |
| Vested | — | — |
| Forfeited | — | — |
| Nonvested PRSUs at September 30, 2014 | 578 | 17.37 |
| Expected to vest at September 30, 2014 | 578 | 17.37 |

(a) Fair value is based on the value of FGL's common stock, not the value of FGLH's common stock.

## FGLH Plans

Stock options issued under the FGLH Plans vest in three equal installments on each of the first three anniversaries of the grant date and expire on the seventh anniversary of the grant date. The FGLH plans were frozen in November 2013 and, therefore, no stock options were issued under these plans during the year ended September 30, 2014. During the years ended September 30, 2013, and 2012, the Company issued 195 thousand and 207 thousand stock options which had a weighted average grant date fair value per option of $3.85, and $3.90, respectively. The following assumptions were used in the determination of these grant date fair values using the Black-Scholes option pricing model and based on the value of FGLH's common stock:

| | 2013 | 2012 |
|---|---|---|
| Risk-free interest rate | 0.8% | 0.8% |
| Assumed dividend yield | 6.0% | 10.0% |
| Expected option term | 4.5 years | 4.5 years |
| Volatility | 27.0% | 35.0% |

The dividend yield is based on the expected dividend rate during the expected life of the option. Expected volatility is based on the implied volatility of exchange-traded securities for life insurance companies. The risk-free interest rate is based on the U.S. Treasury yield curve in effect at the time of the grant. The expected life of the options granted represents the weighted-average period of time from the grant date to the date of exercise, expiration or cancellation based upon a simplified method as the Company lacked sufficient historical data due to the recent implementation of the FGLH Plans.

A summary of the Company's outstanding stock options as of September 30, 2014 and changes during the year then ended are as follows (share amount in thousands):

| Stock Option Awards | Options | Weighted Average Exercise Price (a) |
|---|---|---|
| Stock options outstanding at September 30, 2013 | 335 | $ 44.23 |
| Granted | — | — |
| Exercised | (105) | 39.86 |
| Forfeited or expired | (5) | 47.30 |
| Stock options outstanding at September 30, 2014 | 225 | 46.19 |
| Exercisable at September 30, 2014 | 99 | 46.68 |
| Vested or expected to vest at September 30, 2014 | 221 | 46.15 |

(a) The exercise price is based on the value of FGLH's common stock which was $98.28 at September 30, 2014.

At September 30, 2014, the liability for vested or expected to vest stock options was based on the fair values of the outstanding options. The following assumptions were used in the determination of these fair values using the Black-Scholes option pricing model and based on the value of FGLH's common stock:

| | |
|---|---|
| Risk-free interest rate | 0.65% - 1.02% |
| Assumed dividend yield | 1.2% |
| Expected option term | 2.0 - 2.75 years |
| Volatility | 25.0% |

The dividend yield is based on the expected dividend rate during the expected life of the option. Expected volatility is based on the implied volatility of exchange-traded securities for life insurance companies. The risk-free interest rate is based on the U.S. Treasury yield curve in effect at September 30, 2014. The expected life of the options granted represents the weighted-average period of time from the grant date to the date of exercise, expiration or cancellation based upon historical data.

At September 30, 2014, the intrinsic value of stock options outstanding, exercisable and vested or expected to vest was $11.7, $5.1 and $11.5, respectively. At September 30, 2014, the weighted average remaining contractual term of stock options outstanding, exercisable and vested or expected to vest was 4.9 years, 5.0 years and 4.9 years, respectively. The intrinsic value of stock options exercised and the amount of cash paid upon exercise during the years ended September 30, 2014, 2013, and 2012 was $5.7, $0.5, and $0.0, respectively.

Restricted stock units issued under the FGLH Plans vest in three equal installments on each of the first three anniversaries of the grant date. During the years ended September 30, 2014, 2013, and 2012, FGLH issued 0 thousand, 53 thousand and 0 thousand restricted stock units which had a weighted average grant date fair value per unit of $0, $49.58, and $0, respectively. A summary of FGLH's nonvested restricted stock units as of September 30, 2014 and related activity during the year then ended is as follows (share amount in thousands):

| Restricted Stock Awards | Shares | Weighted Average Grant Date Fair Value (a) |
|---|---|---|
| Nonvested restricted stock units at September 30, 2013 | 46 | $ 49.60 |
| Granted | — | — |
| Vested and paid out | (18) | 49.53 |
| Forfeited | (2) | 49.45 |
| Nonvested restricted stock units at September 30, 2014 | 26 | 49.55 |
| Restricted stock units expected to vest at September 30, 2014 | 25 | 49.55 |

(a) Fair value is based on the value of FGLH's common stock.

The amount of cash paid upon vesting of restricted stock units during the years ended September 30, 2014, 2013, and 2012 was $1.5, $0.0, and $0.0, respectively.

FGLH also granted dividend equivalent awards that permit holders of FGLH's stock option and restricted stock awards to receive a payment in cash in an amount equal to the ordinary dividends declared and paid or debt service payments to HGI by FGLH in each calendar year starting in the year in which the dividend equivalent is granted through the year immediately prior to the year in which the dividend equivalent award vests, divided by the total number of common shares outstanding. Dividend equivalent awards granted in November 2011 vested on March 31, 2014. Dividend equivalent awards granted in December 2012 vest on March 31, 2016. FGLH determined that it was probable the dividend equivalent awards will vest and is recognizing compensation expense ratably over the dividend equivalent vesting periods. The amount of cash paid upon vesting of dividend equivalent awards during the years ended September 30, 2014, 2013, and 2012 was $2.5, $0.0 and $0.0, respectively.

**(12) Income Taxes**

The Company is a U.S. taxpayer and does not do business outside the United States. The Company does not record a separate provision for state income taxes as most of its income is derived from its insurance subsidiaries, which pay premium taxes in lieu of state income taxes in nearly all jurisdictions. The Company's non-life subsidiaries and its direct parent, FGL, file as part of HGI's consolidated U.S. Federal income tax return. The Company's insurance company subsidiaries file their own consolidated U.S. Federal life insurance tax return and are not eligible to join the consolidated HGI return until January 1, 2017. The income tax liabilities of the members of the consolidated HGI return are calculated on a standalone basis and payables or receivables are recorded for the use of tax attributes amongst group members. As of September 30, 2014, the Company and its subsidiaries have intercompany taxes payable due to HGI and its direct parent, FGL, totaling $3.2M for the use of consolidated tax attributes. This payable will either be capitalized or carried forward to offset future intercompany tax receivables as the Company's debt covenants limit cash settlements to amounts actually paid to the Internal Revenue Service.

The net operating losses ("NOLs"), capital losses and tax credits of FGLH's subsidiaries were subject to limitation under IRC Section 382, as a result of the change of ownership that occurred when the companies were purchased in 2011. This caused the net value of attributes that could be utilized to be limited to $4.8 each year, subject to increases for realized built-in gains on certain assets on the date of the change of ownership. On or about September 27, 2013, the Company underwent a second change of control within the meaning of IRC Section 382 (g), triggered by the sale of HGI shares by Harbinger Capital Partners. At the time of this ownership change, FGLH's tax attributes consisted of capital loss carry forwards totaling approximately $350.4, investment tax credits of approximately $54.2, and alternative minimum tax ("AMT") credits of approximately $6.3.

Income tax (expense) benefit was calculated based upon the following components of income before income taxes:

| | Year ended September 30, | | |
|---|---|---|---|
| | 2014 | 2013 | 2012 |
| Pretax income (loss): | | | |
| United States | $ 192.6 | $ 493.0 | $ 140.3 |
| Outside the United States | — | — | — |
| Total pretax income | $ 192.6 | $ 493.0 | $ 140.3 |

The components of income tax (expense) benefit were as follows:

| | Year ended September 30, | | |
|---|---|---|---|
| | 2014 | 2013 | 2012 |
| Current: | | | |
| Federal | $ (51.9) | $ 56.1 | $ (74.3) |
| State | — | — | — |
| Total current | $ (51.9) | $ 56.1 | $ (74.3) |
| | | | |
| Deferred: | | | |
| Federal | $ 24.7 | $ (212.2) | $ 220.0 |
| State | — | — | — |
| Total deferred | $ 24.7 | $ (212.2) | $ 220.0 |
| | | | |
| Income tax (expense) benefit | $ (27.2) | $ (156.1) | $ 145.7 |

The difference between income taxes expected at the U.S. Federal statutory income tax rate of 35% and reported income tax (expense) benefit is summarized as follows:

| | Year ended September 30, | | |
|---|---|---|---|
| | 2014 | 2013 | 2012 |
| Expected income tax (expense) benefit at Federal statutory rate | $ (67.4) | $ (172.6) | $ (49.1) |
| Valuation allowance for deferred tax assets | 40.1 | 18.9 | 197.8 |
| Other | (0.1) | (2.4) | (3.0) |
| Reported income tax (expense) benefit | $ (27.4) | $ (156.1) | $ 145.7 |
| | | | |
| Effective tax rate | 14.1% | 31.7% | (103.8)% |

For the year ended September 30, 2014, the Company's effective tax rate of 14.1% was positively impacted by the partial release of valuation allowance attributed to the Company's implementation of a tax planning strategy that will allow for the utilization of capital loss carry forwards that management previously concluded were more-likely-than-not unrealizable.

For the year ended September 30, 2013, the Company's effective tax rate of 31.7% was positively impacted by the partial release of valuation allowance attributed to the Company's utilization of capital loss carry forwards that management previously concluded were more-likely-than-not unrealizable.

For the year ended September 30, 2012, the Company's effective tax rate of (103.8)%, representing a tax benefit despite pretax income, was positively impacted by the partial release of valuation allowances based on management's conclusion that certain of its deferred tax assets were more likely than not realizable.

For the years ended September 30, 2014, 2013 and 2012, the Company recorded net valuation allowance releases of $40.1 (comprised of a full year valuation allowance release of $43.0 related to the life insurance companies, partially offset by a net increase to valuation allowance of $2.9 related to FGLH's non-life companies), $18.9 (comprised of a full year valuation allowance release of $20.7 related to the life insurance companies, partially offset by a net increase to valuation allowance of $1.8 related to FGLH's non-life companies), and $197.8 (comprised of a full year valuation release of $204.7 related to the life insurance companies, partially offset by an increase to valuation allowance of $6.9 related to FGLH's non-life companies).

The following table is a summary of the components of deferred income tax assets and liabilities:

| | Year ended September 30, | |
|---|---|---|
| | 2014 | 2013 |
| Deferred tax assets: | | |
| Net operating loss, credit and capital loss carryforwards | $ 183.6 | $ 215.6 |
| Insurance reserves and claim related adjustments | 454.2 | 377.5 |
| Other | 43.3 | 27.2 |
| Valuation allowance | (118.5) | (158.6) |
| Total Deferred tax assets | $ 562.6 | $ 461.7 |
| | | |
| Deferred tax liabilities: | | |
| Value of business acquired | (20.8) | (67.2) |
| Investments | (310.7) | (96.7) |
| Deferred acquisition costs | (90.0) | (48.8) |
| Other | (3.7) | (8.4) |
| Total deferred tax liabilities | $ (425.2) | $ (221.1) |
| | | |
| Net deferred tax assets and liabilities | $ 137.4 | $ 240.6 |

At September 30, 2014, the Company's valuation allowance of $118.5 consisted of a valuation allowance of $78.0 on life company capital loss carryforwards and a full valuation allowance of $40.5 on FGLH's non-life insurance net deferred taxes. At September 30, 2013, the Company's valuation allowance of $158.6 consisted of a valuation allowance of $118.7 on capital loss carryforwards and a full valuation allowance of $39.9 on FGLH's non-life insurance net deferred taxes.

The Company maintains a valuation allowance against certain IRC section 382 limited capital loss carry forwards and the deferred tax assets of its non-life insurance company subsidiaries. A valuation allowance has been recorded against capital loss carryforwards limited under IRC Section 382 to reduce the associated deferred tax assets to an amount that is more-likely than not realizable. The non-life insurance company subsidiaries have a history of losses and insufficient sources of future income in order to recognize any portion of their deferred tax assets. All other deferred tax assets are more likely than not to be realized based on expectations as to our future taxable income and considering all other available evidence, both positive and negative.

During the fiscal year ended September 30, 2014, market conditions changed sufficiently that the Company determined it was prudent and feasible to adopt a new tax planning strategy. The strategy involves repositioning a portion of the investment portfolio to trigger $100.0 million in net unrealized built-in gains ("NUBIG"). The sale of these assets will result in an increase to the Company's Section 382 limit (i.e. the "adjusted limit"), enabling the Company to utilize capital loss carry forwards that will offset NUBIG-related gains. This strategy makes it more likely than not that the amount of capital loss carryforwards needed to offset those gains will be utilized. Therefore, a partial release of the valuation allowance offsetting the deferred tax asset related to capital loss carry forwards was recorded at the March 31, 2014 reporting date. The Company intends to execute the transactions prior to the expiration of Section 382-limited capital loss carry forwards. As of September 30, 2014, approximately $67.8 million of NUBIG has been recognized locking in $23.7 million in tax benefits. The Company currently has capital loss carry forwards of $255.0 million that are set to expire December 31, 2015.

Key considerations in the Company's decision supporting adoption of the tax planning strategy include wider spreads in specific credit markets, increased range of executable reinvestment opportunities, and an enhanced focus on managing and increasing the Company's Statutory Interest Maintenance Reserve ("IMR") balance and capital position providing increased flexibility in volatile interest rate and credit spread markets.

At September 30, 2014 and 2013, FGLH has NOL carryforwards of $92.5 and $92.7, respectively, which, if unused, will expire in years 2026 through 2034. FGLH has capital loss carryforwards totaling $259.1 and $350.4 at September 30, 2014 and 2013, respectively, which if unused, will expire in years 2015 through 2019. In addition, at September 30, 2014, 2013 and 2012, FGLH has low income housing tax credit carryforwards totaling $54.3, $54.2 and $52.8, respectively, which, if unused, will expire in years 2017 through 2034, and alternative minimum tax credits of $6.3, $6.3 and $7.6, respectively, that may be carried forward indefinitely.

The U.S. Federal income tax returns of FGLH for years prior to 2009 are no longer subject to examination by the taxing authorities. With limited exception, FGLH is no longer subject to state and local income tax audits for years prior to 2010. However, Federal NOL carryforwards from tax years ended June 30, 2006 and December 31, 2006, respectively, continue to be subject to Internal Revenue Service examination until the statute of limitations expires for the years in which these NOL carryforwards are ultimately utilized.

FGLH does not have any unrecognized tax benefits ("UTBs") at September 30, 2014, 2013 and 2012. In the event the Company has UTBs, interest and penalties related to uncertain tax positions would be recorded as part of income tax expense in the financial statements. The Company regularly assesses the likelihood of additional tax assessments by jurisdiction and, if necessary, adjusts its tax reserves based on new information or developments.

**(13) Commitments and Contingencies**

***Lease Commitments***

The Company leases office space under non-cancelable operating leases that expire in May 2021. The Company also leased office furniture and office equipment under non-cancelable operating leases that expired in 2012. For the years ended September 30, 2014, 2013, and 2012, the Company's total rent expense was $2.0, $1.7 and $2.3, respectively. As of September 30, 2014, the minimum rental commitments under the non-cancelable leases are as follows:

| Fiscal Year | Amount |
|---|---|
| 2015 | $ 1.5 |
| 2016 | 1.5 |
| 2017 | 1.5 |
| 2018 | 1.5 |
| 2019 | 1.6 |
| Thereafter | 3.0 |
| Total | $ 10.6 |

***Contingencies***

*Regulatory and Litigation Matters*

FGLH is assessed amounts by the state guaranty funds to cover losses to policyholders of insolvent or rehabilitated insurance companies. Those mandatory assessments may be partially recovered through a reduction in future premium taxes in certain states. At September 30, 2014, FGLH has accrued $4.4 for guaranty fund assessments which is expected to be offset by estimated future premium tax deductions of $4.6.

The Company has received inquiries from a number of state regulatory authorities regarding its use of the U.S. Social Security Administration's Death Master File (the "Death Master File") and compliance with state claims practices regulation. To date, the Company has received inquiries from authorities in Maryland, Minnesota and New York. The New York Insurance Department issued a letter and subsequent regulation requiring life insurers doing business in New York to use the Death Master File or similar databases to determine if benefits were payable under life insurance policies, annuities, and retained asset accounts. Legislation requiring insurance companies to use the Death Master File to identify potential claims has been enacted in Maryland and other states. As a result of these legislative and regulatory developments, in May 2012, the Company undertook an initiative to use the Death Master File and other publicly available databases to identify persons potentially entitled to benefits under life insurance policies, annuities and retained asset accounts. During Fiscal 2012, the Company incurred an $11.0 benefit expense, net of reinsurance, to increase reserves to cover potential benefits payable resulting from this ongoing effort. Based on its analysis to date, and management's estimate, the Company believes the remaining accrual will cover the reasonably estimated liability arising out of these developments. In addition, the Company has received audit and examination notices from several state agencies responsible for escheatment and unclaimed property regulation in those states. The Company established a contingency of $2.0, the mid-point of an estimated range of $1.0 to $3.0, related to the external legal costs and administrative costs of said audits and examinations of which $0.8 has been paid through September 30, 2014. Additional costs that cannot be reasonably estimated as of the date of this filing are possible as a result of ongoing regulatory developments and other future requirements related to this matter.

The Company is involved in various pending or threatened legal proceedings, including purported class actions, arising in the ordinary course of business. In some instances, these proceedings include claims for unspecified or substantial punitive damages and similar types of relief in addition to amounts for alleged contractual liability or requests for equitable relief. In the opinion of management and in light of existing insurance and other potential indemnification, reinsurance and established reserves, such litigation is not expected to have a material adverse effect on the Company's financial position, although it is possible that the results of operations and cash flows could be materially affected by an unfavorable outcome in any one period.

On July 18, 2011, a putative class action Complaint was filed in the United States District Court for the Central District of California, captioned *Eddie L. Cressy v. OM Financial Life Insurance Company, et. al.,* Case

No. 2:2011-cv-05871. The Plaintiff asked the Court to certify the action as a class action on behalf of both a nationwide and a California class defined as certain persons who were sold OM Financial Life Insurance equity-indexed universal life insurance policies.

The Plaintiff alleged, *inter alia,* that the Plaintiff and members of the putative class relied on defendants' advice to purchase unsuitable insurance policies. After extensive motion practice, the federal court dismissed the federal causes of action, with prejudice, and, on May 9, 2013, declined to exercise supplemental jurisdiction over the state law claims, dismissed the state law claims, without prejudice, and granted the Plaintiff leave to re-file the state law claims in California state court.

On July 5, 2013, the Plaintiff filed a putative class action captioned *Eddie L. Cressy v. Fidelity Guaranty* [sic] *Life Insurance Company, et. al.* in the Superior Court of California, County of Los Angeles (the "Court"), at No. BC-514340. The state court Complaint asserts, *inter alia,* that the Plaintiff and members of the putative class relied on Defendants' advice in purchasing unsuitable equity-indexed insurance policies. The Plaintiff seeks to certify a class defined as "all persons who reside or are located in the state of California who were sold OM Financial/FGL Insurance equity-indexed universal life insurance policies as an investment."

On April 4, 2014, the Plaintiff, FGL Insurance and the other two defendants signed a Settlement Agreement, pursuant to which FGL Insurance has agreed to pay a total of $5.3 to settle the claims of a nationwide class consisting, with certain exclusions, of all persons who own or owned an OM Financial/FGL Insurance indexed universal life insurance policy issued from January 1, 2007 through March 31, 2014, inclusive. As part of the settlement, FGL Insurance agreed to certification of the nationwide class for settlement purposes only. An amended Settlement Agreement was filed with the Court on June 5, 2014 as part of the Plaintiff's Unopposed Motion for Preliminary Approval of Settlement and Conditional Class Certification. On June 19, 2014, the Court held a hearing on Plaintiff's Unopposed Motion for Preliminary Approval of Settlement and Conditional Class Certification and entered its Order Granting Motion for Preliminary Approval of Class Action Settlement ("Order"). The Superior Court set a hearing date of October 3, 2014 for final approval of the settlement.

The deadline for members of the settlement class to opt out of or file objections to the class settlement was September 2, 2014. FGL Insurance would have had the right to unilaterally terminate the settlement if either: (i) 100 policyholders or (ii) policyholders representing more than one percent (1%) of the total premiums paid opted out of or objected to the settlement. However, only two objections and one opt out were submitted. The deadline for class members to submit claim forms expired on October 2, 2014. Over one thousand claim forms were filed.

On October 2, 2014, the Court adjourned the October 3, 2014 date for the final approval hearing for the class settlement, and rescheduled the final approval hearing for November 18, 2014. On November 18, 2014, the Court granted final approval of the class settlement, subject to entry of a Final Order and Judgment. The Court ordered the parties to submit a proposed Final Order and Judgment consistent with her ruling, by November 25, 2014.

At September 30, 2014, the Company estimated the total cost for the settlement, legal fees and other costs related to this class action would be $9.9 and established a liability for the unpaid portion of the estimate of $4.8. Based on the information currently available the Company does not expect the actual cost for settlement, legal fees and other related cost to differ materially from the amount accrued. The Company is seeking indemnification from OMGUK under the First Amended and Restated Stock Purchase Agreement, dated February 17, 2011 (the "F&G Stock Purchase Agreement") between HFG and OMGUK related to the settlement and the costs and fees in defending the *Cressy* litigation in both the federal and state courts. The Company has established an amount recoverable from OMGUK for the amount of $4.9, the collection of which the Company believes is probable. The actual amount recovered from OMGUK could be greater or less than the Company's estimate, but the Company anticipates that the amount recovered will not be materially different than its current estimate. The settlement, legal fees and other costs related to this class action and the amount recoverable from OMGUK is presented net in the income statement in the caption "Benefits and other changes in policy reserves."

In light of the inherent uncertainties involved in the matter described above and uncertainties in litigation generally, there can be no assurance that this litigation, or any other pending or future litigation, will not have a material adverse effect on our business, financial condition, or results of operations.

***Guarantees***

The F&G Stock Purchase Agreement between HFG and OMGUK includes a Guarantee and Pledge Agreement which creates certain obligations for FGLH as a grantor and also grants a security interest to OMGUK of FGLH's equity interest in FGL Insurance in the event that HFG fails to perform in accordance with the terms of the F&G

Stock Purchase Agreement. The Company is not aware of any events or transactions that resulted in non-compliance with the Guarantee and Pledge Agreement.

**(14) Reinsurance**

The Company reinsures portions of its policy risks with other insurance companies. The use of reinsurance does not discharge an insurer from liability on the insurance ceded. The insurer is required to pay in full the amount of its insurance liability regardless of whether it is entitled to or able to receive payment from the reinsurer. The portion of risks exceeding the Company's retention limit is reinsured with other insurers. The Company seeks reinsurance coverage in order to limit its exposure to mortality losses and enhance capital management. The Company follows reinsurance accounting when there is adequate risk transfer. Otherwise, the deposit method of accounting is followed. The Company also assumes policy risks from other insurance companies.

The effect of reinsurance on premiums earned, benefits incurred and reserve changes for the years ended September 30, 2014, 2013 and 2012 were as follows:

| | Year ended September 30, | | | | | |
|---|---|---|---|---|---|---|
| | 2014 | | 2013 | | 2012 | |
| | Net Premiums Earned | Net Benefits Incurred | Net Premiums Earned | Net Benefits Incurred | Net Premiums Earned | Net Benefits Incurred |
| Direct | $ 266.8 | $ 1,103.3 | $ 279.2 | $ 776.5 | $ 298.0 | $ 1,033.3 |
| Assumed | 35.9 | 27.8 | 32.8 | 23.3 | 47.2 | 34.9 |
| Ceded | (247.1) | (343.6) | (253.6) | (303.1) | (289.9) | (290.8) |
| Net | $ 55.6 | $ 787.5 | $ 58.4 | $ 496.7 | $ 55.3 | $ 777.4 |

Amounts payable or recoverable for reinsurance on paid and unpaid claims are not subject to periodic or maximum limits. During the years ended September 30, 2014, 2013 and 2012 , the Company did not write off any reinsurance balances. During the year ended September 30, 2014, the Company did not commute any ceded reinsurance. Effective June 17, 2013, the Company rescinded the portion of the coinsurance agreement dated April 1, 2011 between FGL Insurance and Wilton Re which covered certain disability income riders. Wilton Re paid FGL Insurance a rescission settlement of $6.4. FGL Insurance recognized a net gain on the rescission of $1.9.

No policies issued by the Company have been reinsured with any foreign company, which is controlled, either directly or indirectly, by a party not primarily engaged in the business of insurance.

The Company has not entered into any reinsurance agreements in which the reinsurer may unilaterally cancel any reinsurance for reasons other than non-payment of premiums or other similar credit issues.

***Wilton Agreement***

In September 2012, Wilton Re and FGL Insurance reached a final agreement on the initial settlements associated with the reinsurance transactions FGL Insurance entered into subsequent to the FGL Acquisition. The final settlement amounts did not result in any material adjustments to the amounts reflected in the financial statements. FGL Insurance recognized a net pre-tax gain of $18.0 on these reinsurance transactions which has been deferred and is being amortized over the remaining life of the underlying reinsured contracts. The unamortized portion of this deferred gain was $14.3 and $12.6 as of September 30, 2014 and 2013, respectively.

***Commissioners Annuity Reserve Valuation Method Facility ("CARVM")***

Effective October 1, 2012, FGL Insurance recaptured the CARVM reinsurance agreement from OM Re and simultaneously ceded the business to Raven Reinsurance Company ("Raven Re"), its wholly-owned captive reinsurance company". The recapture of the OM Re CARVM reinsurance agreement satisfies the Company's obligation under the F&G Stock Purchase Agreement to replace the letter of credit provided by OM no later than December 31, 2015. In connection with the new CARVM reinsurance agreement, FGL Insurance and Raven Re entered into an agreement with Nomura Bank International plc ("Nomura") to establish a $295.0 reserve financing facility in the form of a letter of credit issued by Nomura and Nomura charged an upfront structuring fee in the

amount of $2.8. The reserve financing facility is set to be reduced by $6.3 each quarter subsequent to establishment. The structuring fee was paid by FGL Insurance and will be deferred and amortized over the expected life of the facility. As this letter of credit is provided by an unaffiliated financial institution, Raven Re is permitted to carry the letter of credit as an admitted asset on the Raven Re statutory balance sheet.

As of September 30, 2014, there was $251.3 available under the letter of credit facility. The Nomura Facility will terminate on September 30, 2017, although the facility may terminate earlier, in accordance with the terms of the Reimbursement Agreement. Under the terms of the Reimbursement Agreement, in the event the letter of credit is drawn upon, Raven Re is required to repay the amounts utilized, and FGLH is obligated to repay the amounts utilized if Raven Re fails to make the required reimbursement. FGLH also is required to make capital contributions to Raven Re in the event that Raven Re's statutory capital and surplus falls below certain defined levels. As of September 30, 2014, Raven Re's statutory capital and surplus was $3.5 (unaudited) in excess of the minimum level required under the Reimbursement Agreement.

## (15) Related Party Transactions

### *FSRCI*

Effective December 31, 2012, FGL Insurance entered into a reinsurance treaty with FSRCI, an indirect wholly-owned subsidiary of HGI, FGL's parent, whereby FGL Insurance ceded 10% of its June 30, 2012 in-force annuity block business not already reinsured on a funds withheld basis. Under the terms of the agreement, FSRCI paid FGL Insurance an initial ceding allowance of $15.0. A study prepared by an independent third party actuarial firm determined that the initial ceding allowance of $15.0 is a fair and reasonable valuation. The coinsurance agreement was on a funds withheld basis, meaning that funds were withheld by FGL Insurance from the coinsurance premium owed to FSRCI as collateral for FSRCI's payment obligations. Accordingly, the collateral assets remain under the ultimate ownership of FGL Insurance.

Effective September 17, 2014, FGL Insurance entered into a second reinsurance treaty with FSRCI whereby FGL Insurance ceded 30% of any new business of its multi-year guaranteed annuity block of business ("MYGA") issued effective September 17, 2014 and later on a funds withheld basis. Under the terms of the agreement, no initial ceding commission was paid as all of the underlying business is new business.

At September 30, 2014 and 2013, the Company's reinsurance recoverable included $1,267.2 and $1,365.0, respectively, related to FSRCI and funds withheld for reinsurance liabilities included $1,292.8 and $1,368.3, respectively, related to FSRCI.

Below are the ceded operating results to FSRCI's for the years ended September 30, 2014 and 2013:

| | Year ended September 30, | |
|---|---|---|
| **Revenues:** | **2014** | **2013** |
| Premiums | $ 0.9 | $ 0.4 |
| Net investment income | 64.3 | 38.6 |
| Net investment gains | 24.9 | 76.0 |
| Insurance and investment product fees | 4.4 | 4.8 |
| Total revenues | 94.5 | 119.8 |
| | | |
| **Benefits and expenses:** | | |
| Benefits and other changes in policy reserves | (59.9) | (35.1) |
| Acquisition & operating expenses, net of deferrals | (5.8) | (3.3) |
| Total benefits and expenses | (65.7) | (38.4) |
| | | |
| Operating income | $ 28.8 | $ 81.4 |

FGL Insurance invested in CLO securities issued by Fortress Credit Opportunities III CLO LP ("FCO III") and also invested in securities issued by Fortress Credit BSL Limited ("Fortress BSL"). The parent of both FCO III and Fortress BSL is Fortress Investment Group LLC, which has acquired interests greater than 10% ownership

in HGI as of September 30, 2014. During the year, Leucadia National Corp's ("Leucadia") ownership interest in HGI's outstanding shares exceeded 10%. Jefferies Group Inc. ("Jefferies") is a wholly owned subsidiary of Leucadia. Additionally, during the year Frederick's of Hollywood became a wholly owned subsidiary of HGI.

During the September quarter, we sold our debt securities in our affiliates, Leucadia, Jefferies, and Frederick's of Hollywood recognizing gains of $1.6, $5.8, and $0.2, respectively, for the year ended September 30, 2014.

FGL Insurance participates in loans to third parties originated by Salus, an affiliated, limited liability company indirectly owned by HGI. Salus is also considered a VIE as described in “Note 4. Investments” to the Company’s Consolidated Financial Statements. Salus originates senior secured asset-based loans to unaffiliated third-party borrowers. In addition to the participation in loans originated by Salus, FGL Insurance also agreed to provide Salus with financing in the form of a revolving loan and promissory note. In January 2014, FGL Insurance acquired from FSRCI preferred equity interests in Salus which have a 10.0% per annum return and a total par value of $30.0 which is included in the FSRCI funds withheld portfolio. Accordingly all income on this asset is ceded to FSRCI. The Company’s maximum exposure to loss as a result of its investments in Salus is limited to the carrying value of the preferred equity interests, the promissory note and any amounts owed under the revolving loan as reported in its balance sheet. The carrying value of these investments in Salus as of September 30, 2014 and 2013 are disclosed in the tables below.

The Company's consolidated related party investments as of September 30, 2014 and 2013, and related net investment income for the years ended September 30, 2014, 2013 and 2012 are summarized as follows:

| | | September 30, 2014 | | |
|---|---|---|---|---|
| Type | Balance Sheet Classification | Asset carrying value | Accrued Investment Income | Total carrying value |
| Salus collateralized loan obligations | Fixed Maturities, available for sale | $ 239.5 | $ 0.6 | $ 240.1 |
| Fortress Investment Group collateralized loan obligations | Fixed Maturities, available for sale | 194.9 | 1.9 | 196.8 |
| Salus preferred equity (a) | Equity securities, available for sale | 34.1 | — | 34.1 |
| Salus participations | Other Invested Assets | 213.3 | 1.5 | 214.8 |
| Foreign exchange embedded derivative | Other Invested Assets | 1.7 | — | 1.7 |
| HGI energy loan (b) | Related Party Loans | 70.0 | 1.6 | 71.6 |
| Salus 2012 participations | Related Party Loans | 10.9 | 0.1 | 11.0 |
| Salus promissory note | Related Party Loans | 20.0 | — | 20.0 |
| Salus revolver | Related Party Loans | 10.0 | — | 10.0 |
| Frederick's of Hollywood | Related Party Loans | — | 0.1 | 0.1 |

(a) Salus preferred equity is included in the FSRCI funds withheld portfolio, accordingly all income on this asset is ceded to FSRCI.

(b) $20.0 of the total HGI energy loan is included in the FSRCI funds withheld portfolio, accordingly the income related to this portion is ceded to FSRCI.

| | | September 30, 2013 | | |
|---|---|---|---|---|
| Type | Balance Sheet Classification | Asset carrying value | Accrued Investment Income | Total carrying value |
| Salus collateralized loan obligations | Fixed Maturities, available for sale | $ 241.5 | $ 0.4 | $ 241.9 |
| Salus participations | Other Invested Assets | 157.0 | 1.5 | 158.5 |
| HGI energy loan (a) | Related Party Loans | 70.0 | 1.6 | 71.6 |
| Salus 2012 participations | Related Party Loans | 27.3 | 0.1 | 27.4 |
| Salus promissory note | Related Party Loans | 20.0 | — | 20.0 |

(a) $20.0 of the total HGI energy loan is included in the FSRCI funds withheld portfolio, accordingly the income related to this portion is ceded to FSRCI.

| | | Year ended September 30, | | |
|---|---|---|---|---|
| | | 2014 | 2013 | 2012 |
| Type | Investment Income Classification | Net investment income | Net investment income | Net investment income |
| Salus collateralized loan obligations | Fixed Maturities | $ 12.9 | $ 4.5 | $ — |
| Fortress Investment Group collateralized loan obligations | Fixed Maturities | 1.6 | — | — |
| Leucadia National Corp | Fixed Maturities | 1.1 | — | — |
| Jefferies Group Inc. | Fixed Maturities | 1.2 | — | — |
| Salus preferred equity | Equity securities | 2.3 | — | — |
| Salus participations | Other Invested Assets | 19.1 | 6.8 | — |
| HGI energy loan (b) | Related Party Loans | 6.3 | 3.8 | — |
| Salus 2012 participations | Related Party Loans | 0.6 | 3.5 | 2.0 |
| Salus promissory note | Related Party Loans | 1.4 | 1.4 | — |
| Fredericks of Hollywood | Related Party Loans | 0.5 | — | — |
| Salus revolver | Related Party Loans | 0.5 | — | — |

The Company had realized losses of $1.2 for the year ended September 30, 2014 related to its foreign exchange embedded derivative included in other invested assets.

The Company has investment management agreements with Salus, a wholly owned subsidiary of HGI Asset Management Holdings, LLC, which is also a wholly own subsidiary of HGI, CorAmerica Capital, LLC, and Energy & Infrastructure Capital, LLC, both wholly-owned subsidiaries of Five Islands Asset Management, LLC. Five Islands Asset Management, LLC is a wholly own subsidiary of HGI Asset Management Holdings, LLC. The Company pays management fees to these entities for the services provided under these agreements which are usual and customary for these types of services.

**(16) Insurance Subsidiary Financial Information and Regulatory Matters**

The Company's insurance subsidiaries file financial statements with state insurance regulatory authorities and the National Association of Insurance Commissioners ("NAIC") that are prepared in accordance with Statutory Accounting Principles ("SAP") prescribed or permitted by such authorities, which may vary materially from GAAP. Prescribed SAP includes the Accounting Practices and Procedures Manual of the NAIC as well as state laws, regulations and administrative rules. Permitted SAP encompasses all accounting practices not so prescribed. The principal differences between statutory financial statements and financial statements prepared in accordance with GAAP are that statutory financial statements do not reflect DAC and VOBA, some bond portfolios may be carried at amortized cost, assets and liabilities are presented net of reinsurance, contractholder liabilities are generally valued using more conservative assumptions and certain assets are non-admitted. Accordingly, statutory operating results and statutory capital and surplus may differ substantially from amounts reported in the GAAP basis financial statements for comparable items.

The Company's principal insurance subsidiaries' statutory financial statements are based on a December 31 year end. Statutory net income (loss) and statutory capital and surplus of the Company's wholly owned insurance subsidiaries were as follows:

| | Subsidiary (state of domicile)(a) | |
|---|---|---|
| | FGL Insurance (IA)(b) | FGL NY Insurance (NY) |
| **Statutory Net Income (Loss):** | | |
| Fiscal year ended September 30, 2014 (Unaudited) | $ 180.3 | $ 2.7 |
| Year ended December 31, 2013 | 118.2 | 1.3 |
| Year ended December 31, 2012 | 102.2 | 1.0 |
| | | |
| **Statutory Capital and Surplus:** | | |
| September 30, 2014 (Unaudited) | $ 1,134.4 | $ 64.1 |
| December 31, 2013 | 1,108.3 | 61.9 |
| December 31, 2012 | 900.5 | 41.1 |

(a) FGL NY Insurance is a subsidiary of FGL Insurance, and the columns should not be added together.

(b) FGL Insurance Company re-domesticated to Iowa effective November 1, 2013. Prior to November 1, 2013, the Company was domiciled in the state of Maryland.

The amount of statutory capital and surplus necessary to satisfy the applicable regulatory requirements is not significant in relation to FGL Insurance's and FGL NY Insurance's respective statutory capital and surplus.

Life insurance companies are subject to certain Risk-Based Capital ("RBC") requirements as specified by the NAIC. The RBC is used to evaluate the adequacy of capital and surplus maintained by an insurance company in relation to risks associated with: (i) asset risk, (ii) insurance risk, (iii) interest rate risk and (iv) business risk. The Company monitors the RBC of its insurance subsidiaries. As of September 30, 2014 and 2013, each of the Company's insurance subsidiaries had exceeded the minimum RBC requirements (unaudited).

The Company's insurance subsidiaries are restricted by state laws and regulations as to the amount of dividends they may pay to their parent without regulatory approval in any year, the purpose of which is to protect affected insurance policyholders, depositors or investors. Any dividends in excess of limits are deemed "extraordinary" and require approval. Based on statutory results as of December 31, 2013, in accordance with applicable dividend restrictions, the Company's

subsidiaries could pay "ordinary" dividends of $124.4 in 2014, less any dividends paid during the immediately preceding 12 month period. The Company did not declare or pay any dividends during the 12 month period ended September 30, 2014. Therefore, FGL Insurance is able to declare an ordinary dividend up to $124.4 with respect to its 2013 statutory results, subject to management's discretion.

On November 1, 2013, FGL Insurance re-domesticated from Maryland to Iowa. After re-domestication, FGL Insurance elected to apply Iowa-prescribed accounting practices that permit Iowa-domiciled insurers to report equity call options used to economically hedge FIA index credits at amortized cost for statutory accounting purposes and to calculate FIA statutory reserves such that index credit returns will be included in the reserve only after crediting to the annuity contract. This resulted in a decrease in statutory capital and surplus of $0.8 (unaudited) at September 30, 2014 and an increase to statutory capital and surplus of $11.5 at December 31, 2013. Also, the Iowa Insurance Division granted FGL Insurance a permitted statutory accounting practice to reclassify its negative unassigned surplus balance of $805.8 to additional paid in capital as of April 6, 2011, the date the Company acquired FGL Insurance, which had the effect of setting FGL Insurance's statutory unassigned surplus to zero as of this date. The prescribed and permitted statutory accounting practice has no impact on the Company's consolidated financial statements which are prepared in accordance with GAAP.

FGL Insurance's statutory carrying value of Raven Re reflects the effect of permitted practices Raven Re received to treat the available amount of a letter of credit as an admitted asset which increased Raven Re's statutory capital and surplus by $270.0 at December 31, 2013. Raven Re is also permitted to follow Iowa prescribed statutory accounting practice for its reserves on reinsurance assumed from FGL Insurance which increased Raven Re's statutory capital and surplus by $20.5 at December 31, 2013. Without such permitted statutory accounting practices Raven Re's statutory capital and surplus would be negative $108.9 as of December 31, 2013 and its risk-based capital would fall below the minimum regulatory requirements. The letter of credit facility is collateralized by NAIC 1 rated debt securities. If the permitted practice was revoked, the letter of credit could be replaced by the collateral assets with Nomura's consent.

As of September 30, 2014, FGL NY Insurance does not follow any prescribed or permitted statutory accounting practices that differ from the NAIC's statutory accounting practices (unaudited).

On October 7, 2013 the New York State Department of Financial Services ("NYDFS") announced an agreement with Philip A. Falcone, the Chairman and Chief Executive Officer of HGI (the Company's ultimate parent company), HGI, FGLH and FGL NY Insurance that Mr. Falcone will not exercise control, within the meaning of New York insurance law, over FGL NY Insurance or any other New York-licensed insurer for seven years (the "NYDFS Commitment"). Under the NYDFS Commitment agreement, FGLH agreed to maintain FGL NY Insurance's RBC level at no less than 225% company action level RBC ratio, and established a trust account funded with $18.5 of cash or eligible securities to support that agreement.

In addition, in connection with its re-domestication to Iowa, FGL Insurance agreed to the conditions set by the Iowa Commissioner that neither Mr. Falcone nor any employees of Harbinger Capital Partners LLC ("HCP") may serve as an officer or director of FGL Insurance or FGL (but FGL Insurance may request that the Iowa Insurance Division lift this restriction after five years); neither Mr. Falcone nor HCP shall be involved in making investment decisions for FGL Insurance or any funds withheld account that supports credit for reinsurance for FGL Insurance for five years; and, within three months of FGL's initial public offering, FGL shall have an audit committee that complies with Iowa regulation 191-98.13(8) which requires that 75% of the audit committee's members be independent. FGL has complied with these requirements.